HONEYWELL FLOUR MILLS PLC

ANNUAL REPORT AND CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2026

Honeywell Flour Mills Plc

Annual report and consolidated and separate financial statements for the year ended 31 March 2026

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Honeywell Flour Mills Plc

Annual report and consolidated and separate financial statements for the year ended 31 March 2026

CORPORATE INFORMATION

Board of Directors:	
Mr. Omoboyede Olusanya	- Chairman
Mrs. Kate Osamede Iketubosin	- Independent Non Executive Director
Mr. Nassib Raffoul	- Managing Director
Mr. Olanrewaju Jaiyeola	- Non Executive Director
Mr. Anders Kristiansson	- Non -Executive Director
Mr. Joseph Umolu	- Non -Executive Director
Mr. Sadiq Usman	- Non Executive Director
Mrs. Uchenna Ajo	- Non Executive Director
Mrs. Chinonye Nzewi	- Non Executive Director
Registered Office:	1.Golden Penny Place , Wharf Road , Apapa, Lagos
Registration Number:	RC 55495
Operational Office :	**Apapa Factory** 2nd Gate By-passTin Can Island Port, Apapa Lagos.
	Sagamu Factory Sagamu Inter- Change Sagamu,Ogun State.
Company Secretary:	Mrs. Osomomen L. Olukoya Tel:+234 9088328458
Company Registrar:	Atlas Registrars Limited 34, Eric Moore Road , Iganmu , Lagos (Bagco - Building), PO Box 3554,Surulere, Lagos Tel: 2348175425054 +2348108724445 Email : registrars@atlasregistrars.com
Independent Auditor:	Ernst & Young 10th Floor, UBA House 57, Marina Lagos, Nigeria
Bankers	Access Bank Plc Ecobank of Nigeria Limited Fidelity Bank Plc First Bank of Nigeria Limited Guaranty Trust Bank Limited Keystone Bank Nova Merchant Bank Polaris Bank Limited Standard Chartered Bank Sterling Bank Plc Union Bank of Nigeria Limited United Bank For Africa Plc Zenith Bank Plc
Tax Identification Number:	01358728-0001
FRC Number:	FRC/2013/00000001629

FINANCIAL HIGHLIGHTS

	Group		Company		
	2026	**2025**	**2026**	**2025**	**% Increase/**
	N'000	**N'000**	**N'000**	**N'000**	**(decrease)**
Major profit or loss items					
Revenue	360,849,158	373,509,245	355,954,336	373,509,245	(3)
Profit before taxation	21,896,202	21,199,476	22,412,832	21,393,008	2
Profit after taxation	16,486,878	14,588,650	20,091,007	14,782,182	12
At year end					
Major statement of financial position items					
Shareholders' fund	53,932,039	37,445,161	57,729,700	37,638,694	43
Total assets	216,709,176	167,446,236	175,663,566	167,932,244	29
Total liabilities	162,777,137	130,001,074	117,933,866	130,293,549	25
Issued and fully paid share capital	3,965,099	3,965,099	3,965,099	3,965,099	(0)
Per 50k share data					
	Kobo	**Kobo**	**Kobo**	**Kobo**	
Earnings	207.90	183.96	253.35	186.40	
Dividend paid	-	-	-	-	
Net Assets	680.08	472.18	727.97	474.62	
Stock Exchange quotation as at 31 March (N)	21.0	12.4	21.0	12.4	

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RELATION TO THE PREPARATION OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

The Companies and Allied Matters Act, 2020, requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of financial affairs of the Group and Company at the end of the year and of its profit or loss. The responsibilities include ensuring that the Group and Company:

i. keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Group aand Company and comply with the requirements of the Companies and Allied Matters Act, 2020, and the Financial Reporting Council of Nigeria (Amended) Act, 2023.

ii. establishes adequate internal controls to safeguard its assets and to prevent and detect fraud and other irregularities; and

iii. prepares its financial statements using suitable accounting policies supported by reasonable and prudent judgments and estimates and are consistently applied.

The Directors accept responsibility for the annual consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IFRS Accounting Standards as issued by the International Accounting Standards Board and in the manner required by Companies and Allied Matters Act, 2020 and the Financial Reporting Council of Nigeria (Amended) Act, 2023.

The Directors are of the opinion that the consolidated and separate financial statements give a true and fair view of the state of the financial affairs of the Group and Company and of its financial performance for the year ended 31 March 2026.The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of the consolidated and separate financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the Group and Company will not remain a going concern for at least twelve months from the date of this statement.

Signed on behalf of the Board of Directors By:

Omoboyede Oyebolanle Olusanya
Chairman
FRC/2017/IODN/00000017634
29 May, 2026

Nassib Raffoul
Director
FRC/2024/PRO/DIR/003/551851
29 May, 2026

STATEMENT OF CORPORATE RESPONSIBILITY FOR THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

Certification Pursuant to Section 405(1) of the Companies and Allied Matters Act, 2020.

We the undersigned hereby certify the following with regards to our Audited Consolidated and Separate Financial Statements for the year ended 31 March 2026 that:

a. We have reviewed the report;
   To the best of our knowledge, the report does not contain:
   - Any untrue statement of a material fact, or
   - Omit to state a material fact, which would make the statements misleading in the light of circumstances under which such statements were made;
b. To the best of our knowledge, the financial statement and other financial information included in this report fairly present in all material respects the financial condition and results of operation of the Group and Company as of, and for the periods presented in this report
c. We:
   - are responsible for establishing and maintaining internal controls.
   - have designed such internal controls to ensure that material information relating to the Group and Company and is made known to such officers by others within those entities particularly during the period in which the periodic reports are being prepared;
   - have evaluated the effectiveness of the Group and Company's internal controls as of date within 90 days prior to the report;
   - have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;
d. We have disclosed to the auditors of the Company and Audit Committee:
   - All significant deficiencies in the design or operation of internal controls which would adversely affect the Group and Company's ability to record, process, summarize and report financial data and have identified for the Company's auditors any material weakness in internal controls, and
   - Any fraud, whether or not material, that involves management or other employees who have significant role in the Group and Company's internal controls;

We have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Nassib Raffoul	**Imran Moid**
Director	**Chief Financial Officer**
FRC/2024/PRO/DIR/003/551851	**FRC/2026/PRO/ANAN/001/437595**
29 May, 2026	**29 May, 2026**

CORPORATE GOVERNANCE REPORT

Honeywell Flour Mills Plc (HFMP) is committed to the best practices and principles of Corporate Governance. The Company is a member of the Society for Corporate Governance of Nigeria, and has successfully completed the Corporate Governance Rating System assessment - a joint initiative of the Nigerian Stock Exchange and the Convention on Business Integrity. Its business is conducted in a fair, honest and transparent manner which conforms to the Code of Corporate Governance issued by Securities and Exchange Commission and the Financial Reporting Council of Nigeria.

(i) **Board Composition**

The Board consists of a Non -Executive chairman, six (6) Non -Executive Directors , one (1)independent Non - Executive Directors and one (1) Executive Director as at 31 March 2026, all bringing high level of competence and expertise. They are seasoned professionals and entrepreneurs with vast business management experience and credible track records. The Non-Executive Directors are indepensent of the management and are free from the contraints which may materially affect the judgement as Directors of the company,

(ii) **Diversity on the Board**

HFMP acknowledges the importance of diversity on its Board of Directors and seek to maintain a Board which comprises a diverse mix of skills, race, gender, culture, age, experience and knowledge to serve the strategic needs of the business. HFMP also acknowledges the fact that appropriate diversity on its Board will substantially improve group decision making and consequently, improve performance. The Board has three (3) female Directors and a female Company Secretary.

(iii) **Role of the Board**

The Board has the responsibility of ensuring that the Group and Company is properly managed and achieves its strategic objectives with the aim of creating sustainable long term value to the Stakeholders

(iv) **Records of Directors Attendance at Meetings**

Members of the Board of Directors hold periodic meetings to decide policy matters with the aim of directing the affairs of the Company, review its operations, finances and formulate growth strategy. Board agenda and reports are provided ahead of meetings.

Further to the provisions of Section 284(2) of the Companies and Allied Matters Act 2020 (CAMA), the records of the Directors' attendance at Board meetings during the year under review are available at the Group and Company's Corporate Head office for inspection. In accordance with Corporate Governance principles, details of attendance at Board meetings during the year are as follows:

CORPORATE GOVERNANCE REPORT

Names of members	29-05-25	29-07- 25	29-10-25	29- 01-26
Mr. Boye Olusanya	Yes	Yes	Yes	Yes
Mrs. Kate Iketubosin	Yes	Yes	Yes	Yes
Mr. Nassib Raffoul	Yes	Yes	Yes	Yes
Mr. Olanrewaju Jaiyeola	Yes	Yes	Yes	Yes
Mr. Anders Kristiannson	Yes	Yes	Yes	No
Mr. Joseph Umolu	Yes	Yes	Yes	Yes
Mr. Sadiq Usman	Yes	Yes	Yes	Yes
Mrs. Uchenna Ajo	No	Yes	Yes	Yes
Mrs. Chinonye Nzewi	Yes	Yes	Yes	Yes

(v) **Board Changes**

No directors were appointed to the Board in the year under review (2025: Nil). The details of the directors that held office during the year are as stated above.

(vi) **Committees**

a) Statutory Audit Committee

In compliance with section 404(3) of the Companies and Allied Matters Act (CAMA) 2020, shareholders representatives to the Audit Committee were elected at the Annual General Meeting that held on 11th December 2025 while Board representatives were appointed accordingly. Members that served on the Committee during the year comprise:

Mr. Adebayo Adeleke (wef. 11 December 2025)	Chairman
Mr. Adekanmbi David Ademola (wef. 11 December 2025)	Member
Mr. Moses Ijayekunle	Member
Mr. Anders Kristiannson	Member
Mrs. Kate Osamede Iketubosin	Member
Mr. Olalekan Oladepo Adesina	Member
Mr. Musa Ajani	Member

The committee, in the conduct of its affairs, reviews the company's overall risk managemwent and control systems, financial reporting arrangements and standards of business conduct. Members of the Audit Committee have direct access to the Internal Audit Department and Independent Auditors . The statutory functions of the committee are provided for in section 404(7) of the Companies and Allied Matters Act, 2020. The details of the attendance at meetings of the Committee during the year are as follows:

	27-05-25	24-07-25	24-10-25	26- 01-26
Mr. Adebayo Adeleke	N/A	N/A	N/A	Yes
Mr. Adekanmbi David Ademola	N/A	N/A	N/A	Yes
Mr. Moses Ijayekunle	Yes	Yes	Yes	Yes
Mr. Anders Kristiannson	Yes	Yes	Yes	No
Mrs. Kate Osamede Iketubosin	Yes	Yes	Yes	Yes
Mr. Olalekan Oladepo Adesina	Yes	Yes	Yes	N/A
Mr. Musa Ajani	Yes	Yes	Yes	N/A

CORPORATE GOVERNANCE REPORT

b) Audit and Risk Management Committee

The purpose of the Audit and Risk Management Committee is to assist the Board in fulfilling its responsibilities with regards to monitoring the overall risk management framework and compliance process of the company. Details of members of the committee during the year are as follows:

Mr. Anders Kristiansson	Chairman
Mr. Olanrewaju Jaiyeola	Member
Mr. Sadiq Usman	Member
Mr. Joseph Umolu	Member
Mrs. Chinonye Nzewi	Member

Attendance of meetings

	26-05-25	18-07-25	17-10-25	29- 01-26
Mr. Anders Kristiansson	Yes	Yes	Yes	No
Mr. Olanrewaju Jaiyeola	Yes	Yes	Yes	Yes
Mr. Sadiq Usman	Yes	Yes	Yes	No
Mr. Joseph Umolu	Yes	Yes	Yes	Yes
Mrs. Chinonye Nzewi	N/A	N/A	N/A	Yes

c) Remuneration & Governance Committee

The Remuneration and Governance Committee is empowered to bring to the board recommendations regarding the appointment of any Executive or Non-Executive Director.The Committee ensures that a review of Board candidates is undertaken in a disciplined and objective manner.

The members of the Remuneration and Governace Committee are:

Mrs. Kate Osamede Iketubosin	Chairman
Mr. Joseph Umolu	Member
Mr. Sadiq Usman	Member
Mrs. Uchenna Ajo	Member

Attendance of meetings

	27-05-25	24-07-25	24-10-25	26- 01-26
Mrs. Kate Osamede Iketubosin	Yes	Yes	Yes	Yes
Mr. Joseph Umolu	Yes	Yes	Yes	Yes
Mr. Sadiq Usman	Yes	Yes	Yes	No
Mrs. Uchenna Ajo	Yes	Yes	Yes	Yes

d) Executive Management Committee

The Executive Management comprises the Executive Directors and Heads of Departments of the Core Business Units of the Company. It meets regularly and is responsible for setting overall Corporate targets, reviewing the Group and Company's performance and operational issues and overseeing the affairs of the Group and Company on a day-to-day basis. As at 31 March, 2026, the Executive Management comprised the following members:

CORPORATE GOVERNANCE REPORT

Mr. Nassib Raffoul	Managing Director
Mr. Imran Moid	Finance Director
Mr. Andre Swart	General Manager Operations – Tincan
Mr. Panos Ramos	General Manager Operations – Sagamu
Mr. Ayo Akinwande	Quality Assurance Manager
Mrs. Bisi Duduyemi	Head, Human Resources
Mrs. Osomomen L. Olukoya	Company Secretary

(vii) **Performance Evaluation of the Board**

The Board has established a system to undertake a formal and rigorous annual evaluation of its own performance, that of its Committees, the Chairman and individual Directors. The evaluation system includes the criteria and key performance indicators and targets for the Board, its Committees and each individual Committee member.

(viii) **Policies**

In keeping up with its practice of adhering to best Corporate Governance Standards, Honeywell Flour Mills Plc has put in place several policies which protect the interest of its customers and stakeholders. These include:

a. Securities Trading Policy

In accordance with Section 14 of amended Listing Rules of the Nigerian Exchange Limited, Honeywell Flour Mills Plc has in place a Security Trading Policy.

During the financial year under review, the Directors and employees of the Company complied with the Nigerian Exchange Limited Rules relating to securities transactions and the provision of the Honeywell Flour Mills Plc Policy on insider trading.

b. Shareholders Enquiries and Complaints Management Policy

Honeywell Flour Mills Plc has in place a Complaints Management Policy in compliance with the Investments and Securities Act (ISA), 2025 and in line with the Securities and Exchange Commission's Rules relating to the Complaints Management Framework of the Nigerian Capital Market.

During the financial year, all enquiries and complaints covered under the Policy were promptly resolved.

Enquiries and complaints may be submitted through the following channels:

i. Company Registrar
Atlas Registrars Limited
34, Eric Moore Road
Iganmu,Surulere
Lagos
Tel: 234 8175425054, +2348108724445
Email: registrars@atlasregistrars.com.

CORPORATE GOVERNANCE REPORT

ii. Company Secretary
Shareholders seeking to escalate unresolved complaints are directed to contact the Company Secretary at this location:

Office of the Company Secretary
1.Golden Penny Place,
Wharf Road
Apapa , Lagos
Email: oolukoya@fmnplc.com
Tel:+234 9088328458

c. Whistle Blowing Policy
Under its whistle blowing mechanism, employees of Honeywell Flour Mills Plc and other stakeholders including third parties are encouraged to report any observed or suspected acts of fraud, corruption or other irregularities. They may contact the independent helpline by telephone or online without fear of reprisal or recrimination and may do so anonymously if they so wish.

The Company guarantees that the identity of the reporting individual or organisation shall be accorded utmost protection and the report timely investigated and treated. Whistle-blowers may report misconduct, irregularities or malpractice via the following channels:

- whistleblower@honeywellgroup.com
- 0708 060 1099
- www.honeywellgroup.com/whistleblowing

d. Quality Policy
The Group and Company is committed to the continuous achievement of business success by maintaining its quality leadership in the flour milling industry.

This is driven by a quality management system designed to ensure that customers are always provided with high quality products and services that meet International Standards. Such standards are in full compliance with all statutory and regulatory requirements which are set out in writing for adherence by all staff at all times.

Honeywell Flour Mills Plc was the first flour milling company in Nigeria to be ISO-certified. All processes and procedures across the organisation are in line with international best practice to ensure the continuous production of good quality products for the complete satisfaction of its highly esteemed customer. The Group and Company employs state-of-the-art facilities for the production of its various brands in conjunction with its technical partners Buhler AG of Switzerland (the world's leading milling equipment manufacturer) for the installation and maintenance of its mills as well as a partnership agreement with Muhlenchemie of Germany for the supply of additives.

e. Anti-bribery and Corruption Policy
Honeywell Flour Mills Plc is committed to upholding the highest levels of ethical standards and integrity in doing business. Hence, the Group and Company has zero tolerance for fraud, bribery and corruption of any nature.

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The Group and Company acknowledges the importance of fairness in business and kicks against all acts which threaten to undermine the integrity of its business operations.The adverse effects of fraud, bribery and corruption are recognized through its core values which include 'integrity' - symbolizing our commitment to tenaciously maintain the highest ethical standards, and 'responsibility beyond ourselves' which denotes our intent to act as catalysts for positive change and development in our Society. This acts as the foundation of our dealings at Honeywell, and will continue to underpin our business operations.

The Company actively maintains an Anti-Bribery & Corruption Policy to reiterate its zero tolerance stance on fraud, bribery and corruption and such other unethical acts, to provide a framework to promote its stance on these, to promote transparency in its dealings and to ensure its reputation and stakeholders are adequately protected.

f. Others
In line with the Code of Corporate Governance, Honeywell Flour Mills Plc also has in place other policies which further strengthen its Corporate Governance Structure. They include:

- Conflict of interest & related party transactions policy
- Code of Ethics for employees and the Board of Directors
- Communications policy
- Board appointment policy
- Board remuneration policy
- Internal Control policy
- Robust charters for the Board and Commi
- Orientation & induction programme for new Directors

ix **Statement on Sustainability**
Honeywell Flour Mills Plc is passionate about creating and enabling the growth of sustainable value for all its stakeholders. The Group and Company constantly assesses how its operations affect its immediate stakeholders and the broader environment and implements action plans which promote more sustainable business practices.

Honeywell Flour Mills Plc’s sustainability agenda has 2 broad objectives – creating a positive impact as a responsible corporate citizen, while minimizing the adverse effects of business operations on the environment. This agenda thus encompasses both Sustainability and Corporate Social responsibility initiatives, and is anchored on 4 pillars known as “HEED”:

- Health & Safety
- Education
- Environment; and
- Driving economic growth

The Group and Company’s sustainability agenda aligns with the United Nations’ Sustainable Development Goals, particularly:

CORPORATE GOVERNANCE REPORT

- Goal 2: Zero hunger
- Goal 3: Good health and well-being
- Goal 4: Quality education
- Goal 8: Decent work and economic growt

Honeywell Flour Mills Plc recognizes that strong leadership and governance structures are critical to the success of its sustainability agenda, and to the growth and sustenance of its business as a whole. The Board of Directors, working with the Management Team, is responsible for promoting adherence to corporate governance principles and global best practice in business operations, and shall ensure that these business operations are conducted in a manner which aligns with the Company's sustainability agenda.

x. **Statement of Compliance with the Nigerian Code of Corporate Governance**

Honeywell Flour Mills Plc affirms that to the best of its knowledge, the Company is in compliance with the Nigerian Code of Corporate Governance. Practical demonstration of its compliance is shown by the following steps which have been taken:

Part A: Board of Directors & Officers of the Board

 The Board consists of a non-Executive Chairman, one(1) Independent Director, six (6) non-Executive Directors and one (1) Executive Director, supported by a competent Company Secretary.

 A Board Diversity Policy has been developed to ensure that the Board remains sensitive to the need for diversity in all forms including gender, age and experience.

 In addition to the Statutory Audit Committee, the Board has established a Remuneration & Governance Committee and a Business Development Committee all of which are governed by robust charters.

 Training and induction of Directors is governed by the Board's Director of Development Policy. During the year under review.

 The Board is guided by its Appointment Policy in making appointments to the Board, though there were no appointments made during the year under review. The policy sets out the criteria for Board appointments, and provides for the extensive screening and vetting of potential Directors. Upon appointment, new Directors are mandated to undergo an induction programme.

 The Board Remuneration and Governance Policy provides a framework for the remuneration of Executive and Non-Executive Directors, which enables the Company offer competitive and fair rates of pay and benefits to attract and retain people of proven ability, experience and skills whilst ensuring that there is no discrimination based on gender, race, ethnicity, religion or sexual orientation.

 Executive Directors compensation is performance driven , and consists of both fixed and variable remuneration components which are as follows:

- Basic salary
- Performance incentive
- Benefits & allowances
- Terminal benefits

 Non-executive Directors' compensation consists of Directors fees, sitting allowances and reimbursable expenses.

CORPORATE GOVERNANCE REPORT

Part B: Assurance

- A robust Enterprise Risk Management framework is utilized in monitoring business risks
- A whistle-blowing framework has long been established and is continuously communicated to stakeholders

Part C: Relationship with Shareholders

A Stakeholder Management, Engagement & Communication Policy has been developed to enable and encourage stakeholders to engage with the Company.

Part D: Business Conduct with Ethics

Several policies have been developed to demonstrate the Company's commitment to ethical business conduct. They include:

- Insider Trading policy
- Conflict of interest & related party transactions policy
- Anti-bribery & corruption policy

Part E: Sustainability

The Company's sustainability agenda is documented in a Sustainability policy.

Part F: Transparency

Material information is disclosed to stakeholders through the appropriate channels.

Osomomen L. Olukoya
FRC/2022/PRO/NBA/004/451605
Company Secretary
Lagos, Nigeria
29 May, 2026

REPORT OF THE DIRECTORS

The directors have pleasure in submitting their annual report together with the consolidate and separate financial statements of Honeywell Flour Mills Plc for the year ended 31 March 2026.

1 Incorporation

Honeywell Flour Mills Plc was initially registered as Gateway Honeywell Flour Mills Limited on 21 June, 1983. A change in the Company's ownership structure led to a change of the name to Honeywell Flour Mills Limited in June 1995. The Company was converted to a Public Liability Company in 2008. Its shares were listed on the Nigerian Exchange Limited (NGX) in 2009.

2 Principal Activities

The Group and Company is principally involved in the manufacturing and marketing of wheat based products such as flour, semolina, whole wheat meal, noodles and pasta and management of Free Trade Zone Enterprises.

3 Result for the Year

The following is the summary of the Group and Company’s operating results for the year ended 31 March, 2026.

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N’000	**N’000**	**N’000**	**N’000**
Revenue	**360,849,158**	**373,509,245**	**355,954,336**	**373,509,245**
Profit before taxation	21,896,202	21,199,476	22,412,832	21,393,008
Taxation	(5,409,324)	(6,610,826)	(2,321,825)	(6,610,826)
Profit after taxation	**16,486,878**	**14,588,650**	**20,091,007**	**14,782,182**

There were no material changes to the nature of the Group and Company's business from the prior year.

4 Dividend

The Directors has recommended the payment of dividend of N1.59 billion, representing a dividend of N0.20 per ordinary share of 50 kobo each during the reporting period ended 31 March 2026 (2025:Nil).

5 Products Distribution

The Group and Company's products are distributed through many distributors across the Country.

6 Suppliers

The Group and Company obtains its materials from overseas and local suppliers. Amongst its main overseas and local suppliers are Star Trading Company Limited, Buhler A.G, First Blend Limited, Vitachem Nigeria Limited, Montizen Limited and Wahum Packaging Limited.

7 Directors’ Shareholding

The direct and indirect interest of Directors in the Issued Share Capital of the Company as recorded in the Register of Directors Shareholdings and/or as notified by the Directors for the purposes of Sections 301 and 302 of the Companies and Allied Matters Act (CAMA) 2020. and the listing requirements of Nigerian Stock Exchange is as stated hereunder as at 31 March 2026.

REPORT OF THE DIRECTORS

	2026 Direct	2026 Indirect	2025 Direct	2025 Indirect
Mr. Omoboyede Olusanya	-	-	-	-
Mrs. Kate Osamede Iketubosin	-	-	-	-
Mr. Nassib Raffoul	-	-	-	-
Mr. Olanrewaju Jaiyeola	370,000	-	370,000	-
Mr. Anders Kristiansson	-	-	-	-
Mr. Joseph Umolu	-	-	-	-
Mr. Sadiq Usman	-	-	-	-
Mrs. Uchenna Ajo	-	-	-	-
Mrs. Chinonye Nzewi	-	-	-	-
	370,000	-	**370,000**	-

8 Directors' Interest in Contracts

None of the Directors have notified the Group and Company for the purpose of Section 303 of the Companies and Allied Matters Act (CAMA) 2020 of any disclosable interest in contracts with which the Group and Company was involved during the year ended 31 March 2026.

Employment and Employees

9 i). **Employment Policy**

It is the policy of the Group and Company that there should be no discrimination in considering applications for employment including those from physically challenged persons. However, there was no physically challenged person in the employment of the Group and Company during the year.

ii). **Training and Development**

It is the Group and Company's policy to equip all employees with the skills and knowledge required for the successful performance of their jobs. The Group and Company sees the investment in its employees as a major part of its strategic development and have maintained a consistent policy of training its staff, both locally and internationally to enhance their skills and competence.

iii). **Health and Welfare of Employees**

It is the policy of Honeywell Flour Mills Plc that every employee is provided with a safe and healthy working environment so far as is practicable, having due regard to all moral, legal and economic obligations. The Directors of the Group and Company recognize that they have a responsibility to ensure that all reasonable precautions are taken to maintain good working conditions that are safe, healthy and comply with all statutory requirements and best codes of practice. The Group and Company provides Personal Protective Equipment to employees as required by the nature of their jobs and safety officers perform regular monitoring to ensure usage compliance. There are fully equipped clinics at its various sites of operation with full-time nurses and weekly attendance by a physician. It also offers free medical services through a health management services provider to all members of staff.

REPORT OF THE DIRECTORS

The Group and Company continuously strives to improve its operation to ensure a safe working environment. It also maintains high standard of hygiene in all its premises through sanitation practices and regular fumigation exercises, as well as installation of pest and rodent control gadgets.

The employee canteens at Tincan and Sagamu continue to provide nutritionally balanced healthy meals in a conducive environment, free for the Junior Staff and a thighly subsidized rate for the Senior Staff.

Employees and stakeholders will continue to be encourage to express their views on the Group and Company's safety standards through the Safety Committee while Health and Safety training opportunities will be provided annually.

Subject to applicable laws we recruit, hire, train, promote, discipline, and provide other conditions of employment without regard to a person's race, colour, religion, sex, national origin, disability or other classifications protected under law.

10 Shareholding Analysis

The shareholding structure of the Company as at 31 March, 2026 is as stated below:

Share Range			No. of Holders	% of Holders	No of Holdings	Holdings
1	-	1,000	31,340	51.2653	16,282,366	0.2053
1,001	-	5,000	19,035	31.1370	50,081,618	0.6315
5,001	-	10,000	4,251	6.9537	34,448,789	0.4344
10,001	-	50,000	4,545	7.4346	107,535,256	1.356
50,001	-	100,000	862	1.4100	66,520,693	0.8388
100,001	-	500,000	898	1.4689	189,443,701	2.3889
500,001	-	1,000,000	115	0.1881	84,941,962	1.0711
1,000,001	-	Above	87	0.1423	7,380,943,273	93.0964
			61,133	100	**7,930,197,658**	**100**

11 Substantial Interest in Shares

According to the register of members, the following shareholders of the Company held at least 5 percent of the Issued Share Capital of the Company as at 31 March 2026:

	2026 Number	%	2025 Number	%
Ecowise Horizons Investments Limited*	6,165,683,550	77.75	3,841,846,799	48.45
Siloam Global Services Limited	618,000,000	7.79	618,000,000	7.79
Greywise Investment Solutions Limited*	-	-	2,323,836,751	29.30
	6,783,683,550	85.54	6,783,683,550	85.54

Golden Penny Foods Ltd (formerly Flour Mills of Nigeria Plc) owns these shares indirectly through Ecowise Horizons Investments Limited (wholly owned subsidiary).

REPORT OF THE DIRECTORS

12 Donations, Sponsorship and Corporate Social Responsibility

No donation was made to any political party or organisation during the year

13 Significant event during the year

On October 1, 2025, Honeywell Management Company Sagamu FZE commenced operations as an incorporated Free Trade Zone enterprise. In addition, Honeywell Flour Mills Sagamu FZE began operating as a subsidiary of Honeywell Flour Mills Plc, following its restructuring from a division under Honeywell Flour Mills Plc into a stand-alone Free Trade Zone entity. As part of this restructuring, certain assets were transferred from Honeywell Flour Mills Plc to Honeywell Flour Mills Sagamu FZE to support its operations as a subsidiary.

14 Property, Plant and Equipment

Information relating to the changes in the items of Property, Plant and Equipment is disclosed in Note 16. In the opinion of the Directors the market value of the Group and Company's properties is not lower than the value shown in the financial statements.

15 Independent Auditor

Messers Ernst & Young, have indicated their willingness to continue as auditors in accordance with Section 401(2) of the Companies and Allied Matters Act 2020. A resolution will be proposed to authorise the directors to fix their remuneration.

By Order of the Board

Osomomen L. Olukoya
FRC/2022/PRO/NBA/004/451605
Company Secretary
Lagos, Nigeria
29 May, 2026

AUDIT COMMITTEE REPORT

In compliance with the provisions of Section 404 (7) of the Companies and Allied Matters Act (CAMA), 2020, Report from the external auditors and management, we the members of the Audit Committee of Honeywell Flour Mills Plc received the Audited Financial Statements for the year ended 31 March 2026 together with Management report from the external auditors and management responses thereto at a duly convened meeting of the committee and hereby report as follows:

We confirm that:

(a). We reviewed the scope and planning of the audit requirements;

(b). We reviewed the external auditors' Management Control Report together with Management Responses ;and

(c). We have ascertained that the accounting and reporting policies of the company for the year ended 31 March 2026 are in accordance with legal requirements and agreed ethical practices.

In our opinion, the scope and planning of the audit for the year ended 31 March 2026 was adequate and Management Responses to the auditors' findings were satisfactory.

We confirm that the internal control system was being consistently and effectively monitored through effective Internal Audit.

The External Auditors confirmed that they received full co-operation from the management during the course of the statutory audit.

The Committee therefore recommends that the Audited Financial Statements for the year ended 31 March 2026 and the External Auditors' Report thereon be presented for adoption at the Annual General Meeting.

29 May, 2026

Mr.Adebayo Adeleke
Chairman, Audit Committee
FRC/2013/NIM/00000002317

Members of the Audit Committee

Mr.Adebayo Adeleke	-	Chairman
Mr. Moses Ijayekunle	-	Member
Mr. Adekanmbi David Ademola	-	Member
Mr. Anders Kristiansson	-	Member
Mrs. Kate Osamede Iketubosin	-	Member

CERTIFICATION OF MANAGEMENT'S ASSESSMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

To comply with the provisions of Section 11 of SEC Guidance on implementation of Sections 60-63 of Investments and Securities Act 2007, we hereby make the following statements regarding the Internal Controls of The Honeywell Flour Mills Plc for the year ended 31 March 2026

We, Nassib Raffoul (Managing Director) and Imran Moid (Chief Financial Officer) certify that:

a) We have reviewed this management assessment on Internal control over financial reporting of The Honeywell Flour Mills Plc.

b) Based on our knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the Statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c) Based on our knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;

d) We:

1) are responsible for establishing and maintaining internal controls;

2) have designed such Internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the entity, is made known to us by others within those entities, particularly during the period in which this report is being prepared;

3) have designed such internal control system, or caused such internal control system to be designed under our supervision to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;

4) have evaluated the effectiveness of the entity’s internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures as of the end of the period covered by this report based on such evaluation.

e) We have disclosed, based on our most recent evaluation of internal control system, to the entity's auditors and the audit committee of the entity's Board of Directors;

1) All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize and report financial information: and

2) Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.

f) We have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

Nassib Raffoul	**Imran Moid**
Managing Director	**Chief Financial Officer**
FRC/2024/PRO/DIR/003/551851	**FRC/2026/PRO/ANAN/001/437595**
29 May, 2026	**29 May, 2026**

MANAGEMENT ANNUAL ASSESSMENT OF, AND REPORT ON, THE ENTITY'S INTERNAL CONTROL OVER FINANCIAL REPORTING

To comply with the provisions of Section 1.3 of SEC Guidance on Implementation of Sections 60-63 of Investments and Securities Act 2007, we hereby make the following statements regarding the Internal Controls of The Honeywell Flour Mills Plc for the year ended 31 March 2026;

i The Honeywell Flour Mills Plc's management is responsible for establishing and maintaining a system of internal control over financial reporting ("ICFR") that provides reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with International Financial Reporting Standards.

ii The Honeywell Flour Mills Plc's management used the Internal Control-Integrated Framework (2013) of Committee of Sponsoring Organization of the Treadway Commission (COSO) Internal Control-Integrated Framework to conduct the required evaluation of the effectiveness of the entity's ICFR.

iii The Honeywell Flour Mills Plc's management has assessed that the entity's ICFR as of the end of 31 March 2026 is effective.

iv The Honeywell Flour Mills Plc's external auditor Messrs. Ernst and Young that audited the financial statements, included in the annual report, has issued an attestation report on management's assessment of the entity's internal control over financial reporting.

The attestation report of Messrs. Ernst and Young that audited its financial statements will be filed as part of its annual report.

Nassib Raffoul	**Imran Moid**
Managing Director	**Chief Financial Officer**
FRC/2024/PRO/DIR/003/551851	**FRC/2026/PRO/ANAN/001/437595**
29 May, 2026	**29 May, 2026**

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Independent Auditor's Attestation Report on Management's Assessment of Internal Control over Financial Reporting

To the Members of Honeywell Flour Mills Plc

Scope

We have been engaged by Honeywell Flour Mills Plc ("the Company") to perform a 'limited assurance engagement', based on International Standards on Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, herein referred to as the engagement, to report on Honeywell Flour Mills Plc Internal Control over Financial Reporting (ICFR) (the "Subject Matter") contained in the Honeywell Flour Mills Plc Management's Assessment on Internal Control over Financial Reporting as of 31 March 2026 (the "Report").

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

(1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;

(2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and

(3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Criteria applied by Honeywell Flour Mills Plc

In designing, establishing and operating the Internal Control over Financial Reporting (ICFR) and preparing the Management's assessment of the Internal Control over Financial Reporting (ICFR), Honeywell Flour Mills Plc applied the requirements of Internal Control-Integrated Framework (2013) of the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting (Criteria). Such Criteria were specifically designed to enable organizations effectively and efficiently develop systems of internal control that adapt to changing business and operating environments, mitigate risks to acceptable levels, and support sound decision making and governance of the organization; As a result, the subject matter information may not be suitable for another purpose.

Honeywell Flour Mills Plc's responsibilities

Honeywell Flour Mills Plc's management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Honeywell Flour Mills Plc's *management's assessment of the Internal Control over Financial reporting as of 31 March 2026* in accordance with the criteria.

Our responsibilities
Our responsibility is to express a conclusion on the design and operating effectiveness of the Internal Control over Financial Reporting based on our Assurance engagement.

We conducted our engagement in accordance with the *International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, those standards require that we plan and perform our engagement to obtain limited assurance on the entity's internal control over financial reporting based on our assurance engagement.

Our independence and quality management
We have maintained our independence and confirm that we have met the requirements of the International Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants (IESBA Code) and have the required competencies and experience to conduct this assurance engagement.

We also apply International Standard on Quality Management 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements*, which requires that we design, implement, and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed
The procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk.
Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provides a basis for our report on the internal control put in place by management over financial reporting.

The procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have obtained had a reasonable assurance engagement been performed.

Conclusion
In conclusion, nothing has come to our attention to indicate that the internal control over financial reporting put in place by management is not adequate as of 31 March 2026, based on the requirements of Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting.

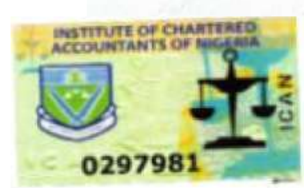
Other Matter
We also have audited, in accordance with the International Standards on Auditing, the financial statements for the year ended 31 March 2026 of Honeywell Flour Mills Plc and we expressed an unmodified opinion in our Auditor's report dated 30 May, 2026. Our conclusion is not modified is respect of this matter.

Signed:

Williams I. Erimona, FCA
FRC/2013/PRO/ICAN/004/00000002190

For: Ernst & Young
Lagos, Nigeria.

30 May, 2026



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Independent Auditor's Report

To the Members of Honeywell Flour Mills Plc

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of Honeywell Flour Mills Plc ('the Company') and its subsidiaries (together 'the Group'), which comprise the consolidated and separate statements of financial position as at 31 March 2026, and the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of the Group and the Company as at 31 March 2026, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the provisions of the Companies and Allied Matters Act, 2020 and in compliance with the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the Group and the Company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) as applicable to audits of financial statements of public interest entities, together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Nigeria, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

The Key Audit Matter applies equally to the audit of the consolidated and separate financial statements.

Key Audit Matter	How the matter was addressed in the audit
Expected Credit Loss Assessment on Intercompany and Third-Party Trade Receivables The Group has significant intercompany and third-party receivables which are subject to expected credit loss assessment in accordance with the requirements of IFRS 9 Financial Instruments. Given the subjective nature of the calculation of Expected Credit Loss (ECL), there is a heightened risk that the impairment allowance could be misstated. The ECL model involves the application of considerable level of judgement and estimation in determining inputs for ECL calculation, including: • assessing the relationship between default and macro-economic variables. • incorporating forward looking information in the expected credit loss and establishing multiple scenarios with related probability weights. • validating the completeness and accuracy of historical data used to recalibrate the models. • validating the completeness and accuracy of data used to run the models. The determination of ECL on intercompany and third party trade receivables is considered a key audit matter given the significant balances of the accounts, related ECL allowances and the level of complexity and judgement involved in estimating the ECL allowances. See Note 2.3.4 and Note 22.4 - Trade and other receivables and Note 22.5 – Trade receivables – related parties to the financial statements for the details of the balances.	We obtained management's model for the computation of expected credit loss on trade receivables and performed the following procedures, amongst others: • Tested the ageing analysis of trade receivables used in the computation of ECL for completeness and accuracy. • Assessed the appropriateness of the categorization of the customer segments based on credit risk characteristics. • Tested the policies, processes and model compliance with IFRS 9 • Evaluated the loss rates to ensure that the calculation reflects the probability weighted outcome. • Evaluated the scalar adjustment multiplier to determine if they were appropriate. • Analysed forward looking information and confirmed completeness, correctness, and applicability for the Company. • Recalculated the allowance for expected credit loss on trade receivables and compared with management's estimate. • Assessed the disclosures made in the financial statements based on the requirements of IFRS 9.

Independent Auditor's Report

To the Members of Honeywell Flour Mills Plc

Report on the Audit of the Consolidated and Separate Financial Statements - Continued

Other Information

The Directors are responsible for the other information. The other information comprises the information included in the document titled "Honeywell Flour Mills Plc Annual Report and Consolidated and Separate Financial Statements for the year ended 31 March 2026", which includes the Corporate information, Financial Highlights, Corporate Governance Report, Report of the Directors, Audit Committee Report, Statement of Corporate Responsibility for the Consolidated and Separate Financial Statements, Statement of Directors' Responsibilities in Relation to the Preparation of the Consolidated and Separate Financial Statements, Management's Report on the Effectiveness of Internal Control over Financial Reporting, Certification of Management's Assessment of Internal Control over Financial Reporting, and Other National Disclosures. Other information does not include the consolidated or the separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon as part of this opinion.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The Directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the provisions of the Companies and Allied Matters Act, 2020 and in compliance with the Financial Reporting Council of Nigeria (Amendment) Act, 2023, and for such internal control as the Directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists.

Report on the Audit of the Consolidated and Separate Financial Statements - Continued

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

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Independent Auditor's Report

To the Members of Honeywell Flour Mills Plc

Report on the Audit of the Consolidated and Separate Financial Statements – Continued

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In accordance with the requirement of the Fifth Schedule of the Companies and Allied Matters Act, 2020, we confirm that:

- We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit;
- In our opinion, proper books of account have been kept by the Group and Company, in so far as it appears from our examination of those books;
- The consolidated and separate statements of financial position, and the consolidated and separate statements of profit or loss and other comprehensive income are in agreement with the books of account and;
- In our opinion, the consolidated and separate financial statements have been prepared in accordance with the provisions of the Companies and Allied Matters Act, 2020 so as to give a true and fair view of the state of affairs and financial performance of the Company and its subsidiaries.

In accordance with the requirements of the Financial Reporting Council of Nigeria (FRC) Guidance on Assurance Engagement Report on Internal Control over Financial Reporting:

We performed a limited assurance engagement and reported on management's assessment of the Company's internal control over financial reporting as of 31 March, 2026. The work performed was done in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, and we have issued an unmodified conclusion in our report dated 30 May, 2026.

Signed:

Williams I. Erimona, FCA
FRC/2013/PRO/ICAN/004/00000002190

For: Ernst & Young
Lagos, Nigeria.
30 May, 2026

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
ICAN
0297982

CONSOLIDATED AND SEPARATE STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2026

		Group		Company	
		2026	2025	2026	2025
Assets	**Note(s)**	**N'000**	**N'000**	**N'000**	**N'000**
Non-current assets					
Property, plant and equipment	16	99,267,498	70,803,963	23,929,619	70,803,963
Intangible assets	17	422,914	38,457	16,544	38,457
Right of use asset	18	666,987	692,644	666,987	692,644
Deferred tax assets	28	-	-	157,615	-
Long term loans receivables	19	-	3,151,345	-	3,151,345
Investment in subsidiary	20	-	-	300,000	300,000
Total non-current assets		**100,357,399**	**74,686,409**	**25,070,765**	**74,986,409**
Current assets					
Inventories	21	31,456,988	48,124,593	22,484,823	48,124,593
Trade and other receivables	22	28,791,747	27,561,580	77,579,773	27,747,588
Short term loans receivables	19	40,555,827	-	40,659,757	-
Prepayments	23	5,737,137	11,809,104	1,538,696	11,809,104
Cash and cash equivalents	24	9,810,078	5,264,550	8,329,752	5,264,550
Total current assets		**116,351,777**	**92,759,827**	**150,592,801**	**92,945,834**
Total assets		**216,709,176**	**167,446,236**	**175,663,566**	**167,932,244**
Equity and Liabilities					
Liabilities					
Non-current liabilities					
Borrowings	25	27,022,821	20,284,280	27,022,821	20,284,280
Deferred income	26	716,913	1,318,933	716,913	1,318,933
Lease liability	27	223,023	769,151	223,023	769,151
Employee's long service award	31	232,634	149,048	187,209	149,048
Deferred tax liabilities	28	2,870,736	7,595,379	-	7,595,379
Total non current liability		**31,066,127**	**30,116,792**	**28,149,966**	**30,116,792**
Current liabilities					
Borrowings	25	5,459,198	6,681,123	5,459,198	6,681,123
Deferred income	26	673,632	887,739	673,632	887,739
Lease liability	27	763,134	101,724	763,134	101,724
Trade and other payables	29	97,985,177	79,006,446	56,117,215	79,298,921
Contract liability	30	18,168,143	8,791,751	18,168,143	8,791,751
Current tax payable	32.3	8,661,726	4,415,499	8,602,578	4,415,499
Total current liability		**131,711,010**	**99,884,282**	**89,783,900**	**100,176,757**
Total liabilities		**162,777,137**	**130,001,074**	**117,933,866**	**130,293,549**
Equity					
Share capital	33	3,965,099	3,965,099	3,965,099	3,965,099
Share premium	33.1	6,462,041	6,462,041	6,462,041	6,462,041
Revaluation reserves		19,388,109	19,388,109	19,388,109	19,388,109
Retained earnings	33.2	24,116,790	7,629,912	27,914,451	7,823,444
Total equity		**53,932,039**	**37,445,161**	**57,729,700**	**37,638,694**
Total equity and liabilities		**216,709,176**	**167,446,236**	**175,663,566**	**167,932,243**

The financial statements were approved by the Board of Directors on 29 May, 2026 and signed on its behalf by:

Omoboyede Oyebolanle Olusanya	**Nassib Raffoul**	**Imran Moid**
Chairman	**Managing Director**	**Chief Financial Officer**
FRC/2017/IODN/00000017634	**FRC/2024/PRO/DIR/003/551851**	**FRC/2026/PRO/ANAN/001/437595**

The accompanying policies and notes to the financial statements form an integral part of these financial statements

CONSOLIDATED AND SEPARATE STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 MARCH 2026

		Group		Company	
		2026	2025	2026	2025
	Note	N'000	N'000	N'000	N'000
Revenue from contracts with customers	6	360,849,158	373,509,245	355,954,336	373,509,245
Cost of sales	7	(324,418,819)	(341,263,860)	(319,696,829)	(341,263,860)
Gross profit		**36,430,339**	**32,245,385**	**36,257,507**	**32,245,385**
Other income	8	3,402,513	4,920,629	2,546,599	4,920,629
Selling and distribution expenses	9.1	(11,383,414)	(4,580,304)	(11,331,953)	(4,580,304)
Administrative expenses	9.2	(9,971,318)	(12,280,304)	(9,490,870)	(12,086,772)
Impairment loss on trade receivables	9.4	(1,901,268)	(2,220,648)	(1,901,268)	(2,220,648)
Operating profit		**16,576,852**	**18,084,758**	**16,080,015**	**18,278,290**
Finance income	11	9,224,056	8,543,454	10,237,523	8,543,454
Finance costs	12	(3,904,706)	(5,428,736)	(3,904,706)	(5,428,736)
Profit before minimum tax		**21,896,202**	**21,199,476**	**22,412,832**	**21,393,008**
Minimum tax	32.2	-	-	-	-
Profit before taxation		21,896,202	21,199,476	22,412,832	21,393,008
Income tax expense	32.1	(5,409,324)	(6,610,826)	(2,321,825)	(6,610,826)
Profit for the year		**16,486,878**	**14,588,650**	**20,091,007**	**14,782,182**
Other comprehensive income for the year (net of taxation)		-	-	-	-
Total comprehensive income for the year		**16,486,878**	**14,588,650**	**20,091,007**	**14,782,182**
Earnings per share (kobo)					
Basic earnings per share (kobo)	13	207.90	183.96	253.35	186.40
Diluted earnings per share (kobo)	13	207.90	183.96	253.35	186.40

The accompanying policies and notes to the financial statements form an integral part of these financial statements

CONSOLIDATED AND SEPARATE STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 MARCH 2026

Group	**Share capital**	**Share premium**	**Revaluation reserve**	**(Accumulated loss)/ retained earnings**	**Total equity**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**
Balance at 1 April 2024	**3,965,099**	**6,462,041**	**19,388,109**	**(6,958,738)**	**22,856,511**
Profit for the year	-	-	-	14,588,650	14,588,650
Balance at 31 March 2025	**3,965,099**	**6,462,041**	**19,388,109**	**7,629,912**	**37,445,161**
Balance at 1 April 2025	**3,965,099**	**6,462,041**	**19,388,109**	**7,629,912**	**37,445,161**
Profit for the year	-	-	-	16,486,878	16,486,878
Balance at 31 March 2026	**3,965,099**	**6,462,041**	**19,388,109**	**24,116,790**	**53,932,039**

Company	**Share capital**	**Share premium**	**Revaluation reserve**	**(Accumulated loss)/ retained earnings**	**Total equity**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**
Balance at 1 April 2024	**3,965,099**	**6,462,041**	**19,388,109**	**(6,958,738)**	**22,856,511**
Profit for the year	-	-	-	14,782,182	14,782,182
Balance at 31 March 2025	**3,965,099**	**6,462,041**	**19,388,109**	**7,823,444**	**37,638,693**
Balance at 1 April 2025	**3,965,099**	**6,462,041**	**19,388,109**	**7,823,444**	**37,638,693**
Profit for the year	-	-	-	20,091,007	20,091,007
Balance at 31 March 2026	**3,965,099**	**6,462,041**	**19,388,109**	**27,914,451**	**57,729,700**

The accompanying policies and notes to the financial statements form an integral part of these financial statements

CONSOLIDATED AND SEPARATE STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 MARCH 2026

Cash flows from operating activities		Group		Company	
		2026	2025	2026	2025
	Note(s)	N'000	N'000	N'000	N'000
Profit before taxation		21,896,202	21,199,476	22,412,832	21,393,008
Adjustments for:					
Depreciation, amortisation and impairment	15	5,158,081	9,450,343	3,781,744	9,450,343
Net unrealised (gain)/ losses on foreign exchange	9.3	(581,206)	787,870	(753,800)	787,870
Impairment (write back)/ charge on trade receivables	9.4	(21,100)	538,328	(21,100)	538,328
Impairment charge on related parties receivables	9.4	373,458	1,573,454	373,458	1,573,454
Impairment charge on loan receivables	19.2	1,548,910	108,866	1,548,910	108,866
Profit on disposal of property,plant and equipment	8	-	(184,903)	-	(184,903)
Loss on intangible assets written-off	9.2	-	6	-	6
Interest income	11	(4,905,258)	(2,697,681)	(4,905,258)	(2,697,681)
Interest expense on lease liability	12	115,282	116,018	115,282	116,018
Interest expense on borrowing	12	3,789,424	4,524,848	3,789,424	4,524,848
Government grant income	26	(886,015)	(1,136,453)	(886,015)	(1,136,453)
Gain on derivative liability		-	-	-	-
Provision for long service award	31	223,303	53,816	59,435	53,816
Changes in working capital:					
Decrease in inventories	21.1	16,667,605	4,372,417	18,821,170	4,372,417
Increase in trade and other receivables	22.1	(2,120,968)	(27,281,572)	7,034,751	(27,467,579)
(Decrease)/ increase in prepayments	23.1	5,770,957	(4,901,865)	9,969,398	(4,901,865)
Increase/ (decrease) in contract liability	30	9,376,392	(1,717,306)	9,376,392	(1,717,306)
Increase in trade and other payables	29	75,902,448	292,152,368	33,128,978	292,444,843
Cash generated from operations		**132,307,515**	**296,958,028**	**103,845,601**	**297,258,029**
Tax paid	32.3	(5,586,731)	(479,091)	(5,586,731)	(479,091)
Long service award paid	31	(158,993)	(41,196)	(9,698)	(41,196)
Net cash flow from operating activities		**126,561,791**	**296,437,742**	**98,249,172**	**296,737,742**
Cash flows from investing activities					
Purchase of property, plant and equipment	16	(33,574,046)	(2,515,648)	(6,812,082)	(2,515,648)
Proceed from sale of property, plant and equipment	16.1	-	3,546,252	-	3,546,252
Purchase of intangible assets	17	(406,371)	-	-	-
Loan granted to related parties	19.1	(152,972,006)	(297,439,684)	(153,075,937)	(297,439,684)
Interest income from bank deposits	11	102,521	-	102,521	-
Repayment of loans by related parties	19.1	64,035,022	11,618,000	64,035,022	11,618,000
Investment in subsidiaries	20	-	-	-	(300,000)
Net cash flow used in investing activities		**(122,814,880)**	**(284,791,080)**	**(95,750,476)**	**(285,091,080)**
Cash flow from financing activities					
Lease principal payment	27	-	(71,207)	-	(71,207)
Lease interest payment	27	-	(30,517)	-	(30,517)
Proceeds from borrowings	25.1	10,129,167	-	10,129,167	-
Repayment of principal	25.1	(6,840,184)	(8,487,164)	(6,840,184)	(8,487,164)
Repayment of interest	25.1	(1,561,791)	(2,867,313)	(1,561,791)	(2,867,313)
Net cash flow from / (used in) financing activities		**1,727,192**	**(11,456,202)**	**1,727,192**	**(11,456,202)**
Total cash movement for the year		5,474,103	190,460	4,225,888	190,460
Cash at the beginning of the year		5,264,550	5,070,052	5,264,550	5,070,052
Net exchange gain on cash and cash equivalent	9.3	(928,575)	4,038	(1,160,686)	4,038
Total cash at end of the year	24	**9,810,078**	**5,264,550**	**8,329,752**	**5,264,550**

The accompanying policies and notes to the financial statements form an integral part of these financial statements

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

1 Corporate Information

Honeywell Flour Mills Plc was initially registered as Gateway Honeywell Flour Mills Limited on 21 June, 1983. A change in the company's ownership structure led to a change of the name to Honeywell Flour Mills Limited in June, 1995. The Company was converted to a Public Liability Company in 2008. Its shares were listed on the Nigerian Stock Exchange (NSE) in 2009.

Honeywell Flour Mills Plc is a company domiciled in Nigeria. The Group and Company is principally engaged in the manufacturing and marketing of wheat-based products including Flour, Semolina, Whole Wheat Meal, Noodles and Pasta and management of Free Trade Zone Operations.

2 Accounting Policies

2.1 Statement of Compliance

The financial statements have been prepared on the going concern basis in accordance with,and in compliance with, IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) and effective at the time of preparing these financial statements, and in the manner required by the Companies and Allied Matters Act 2020 and Financial Reporting Council of Nigeria (Amendment Act), 2023.

2.2 Functional and Presentation Currency

The financial statements are presented in Naira, which is the Group and Coompany's functional currency.

2.3 Material Accounting Policy Information.

The material accounting policies applied in the preparation of these financial statements are set out below.

2.3.1 Foreign Currency Transactions

Foreign currency transactions are translated into Naira using the exchange rates prevailing at the dates of the transactions or valuations where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the income statement, except when deferred in other comprehensive income as qualifying cash flow hedges and qualifying net investment hedges.

Foreign exchange gains and losses that relate to borrowings are presented in the income statement within 'finance income or cost'. All other foreign exchange gains and losses are presented in the income statement within 'other gains (losses) - net'.

2.3.2 Property, Plant and Equipment

Property, plant and equipment are tangible assets which the Group and Company holds for its own use or for rental to others and which are expected to be used for more than one year.

An item of property, plant and equipment is recognised as an asset when it is probable that future economic benefits associated with the item will flow to the Group and Company, and the cost of the item can be measured reliably.

Property, plant and equipment is initially measured at cost. Cost includes all of the expenditure which is directly attributable to the acquisition or construction of the asset,including the capitalisation of borrowing costs on qualifying assets and adjustments in respect of hedge accounting, where appropriate.

Expenditure incurred subsequently for major services, additions to or replacements of parts of property, plant and equipment are capitalised if it is probable that future economic benefits associated with the expenditure will flow to the Group and Company and the cost can be measured reliably. Day to day servicing costs are included in profit or loss in the year in which they are incurred.

Major spare parts and stand by equipment which are expected to be used for more than one year are included in property, plant and equipment.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

2.3.2 Property, Plant and Equipment Continued

Subsequent to initial recognition, property, plant and equipment is measured at cost less accumulated depreciation and any accumulated Property, plant and equipment is subsequently stated at revalued amount, being the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

Revaluations are made within 3 to 5 years such that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting year.

The fair value represents the price which an interested party in a property or an item of plant and machinery might reasonably be expected to realize in a sale by private treaty assuming the following:

- a willing buyer;
- a reasonable period within which to negotiate the sale taking into consideration the nature of the assets and the state of the market;
- values will remain static throughout the period; - the assets will be freely exposed to the market;
- no account is to be taken of an additional bid by a special purchaser; and
- no account is to be taken of expenses of realization which may arise in the event of a disposal.

Any increase in an asset's carrying amount, as a result of a revaluation, is recognised in other comprehensive income and accumulated in the revaluation reserve in equity. The increase is recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss.

Any decrease in an asset's carrying amount, as a result of a revaluation, is recognised in profit or loss in the current year. The decrease is recognised in other comprehensive income to the extent of any credit balance existing in the revaluation reserve in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in the revaluation reserve in equity.

Depreciation of an asset commences when the asset is available for use as intended by management. Depreciation is charged to write off the asset's carrying amount over its estimated useful life to its estimated residual value, using a method that best reflects the pattern in which the asset's economic benefits are consumed by the Group and Company. Upon revaluation of assets, depreciation is calculated on the estimated useful life of the revalued assets.

Leased assets are depreciated in a consistent manner over the shorter of their expected useful lives and the lease term. Depreciation is not charged on an asset if its estimated residual value exceeds or is equal to its carrying amount. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or de-recognised.

The useful lives of items of property, plant and equipment have been assessed as follows:

Item	Depreciation Method	Depreciation Rate
Buildings	Straight line	2 - 5%
Office Furniture and Equipment	Straight line	10 - 25%
Plant and Machinery	Straight line	6.67 - 20%
Motor vehicles	Straight line	10 - 33.33%
Land	Not Depreciated	Not depreciated

The residual value, useful life and depreciation method of each asset are reviewed at the end of each reporting year. If the expectations differ from previous estimates, the change is accounted for prospectively as a change in accounting estimate.

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately.

The depreciation charge for each year is recognised in profit or loss unless it is included in the carrying amount of another asset.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

2.3.2 Property, Plant and Equipment Continued

Impairment tests are performed on property, plant and equipment when there is an indicator that they may be impaired. When the carrying amount of an item of property, plant and equipment is assessed to be higher than the estimated recoverable amount, an impairment loss is recognised immediately in profit or loss to bring the carrying amount in line with the recoverable amount.

An item of property, plant and equipment is de-recognised upon disposal or when no future economic benefits are expected from its continued use or disposal. Any gain or loss arising from the de-recognition of an item of property, plant and equipment, determined as the difference between the net disposal proceeds, if any, and the carrying amount of the item, is included in profit or loss when the item is de-recognised.

2.3.3 Intangible Assets

(i) Computer Software

Acquired computer software licenses are capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized over their estimated useful lives. Costs associated with maintaining computer software programmes are recognized as expenses incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group and Company are recognized as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product and use or sell it;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product;
- It can be demostrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and use or sell the software product are available; and

- The expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalized as part of the software product include the software development, employee costs and an appropriate portion of relevant overheads. Other development expenditure that do not meet these criteria are recognized as expenses as incurred. Development costs previously recognized as expense are not recognized as asset in subsequent period.

Computer software development costs recognized as assets are amortized over their estimated useful lives.

(ii) Amortization of Intangible Assets

Intangible assets are amortized on a straight-line basis in the income statement over their estimated useful lives, from the date that they are available for use. The estimated useful life of computer software is between 2 to 10 years. Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted for where appropriate.

Impairment tests are performed on intangible assets when there is an indicator that they may be impaired. When the carrying amount of an item of intangible assets is assessed to be higher than the estimated recoverable amount, an impairment loss is recognised immediately in profit or loss to bring the carrying amount in line with the recoverable amount.

An item of intangible assets is de-recognised upon disposal or when no future economic benefits are expected from its continued use.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

2.3.4 Financial instruments

(i) Recognition and initial measurement:

All financial instruments are measured initially at fair value plus directly attributable transaction costs and fees, except for those financial instruments that are subsequently measured at fair value where such transaction costs and fees are immediately recognized in profit or loss. Financial instruments are recognized (derecognized) on the date the Group and Company commits to purchase (sell) the instruments (trade date accounting).

The Group and Company classify financial instruments, or their component parts, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement.

For financial instruments which are not at fair value through profit or loss, transaction costs are included in the initial measurement of the instrument.

Transaction costs on financial instruments at fair value through profit or loss are recognised in profit or loss.

(ii) Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified as measured at:

- amortised cost;
- fair value through OCI (FVOCI)
- Fair value through profit or loss (FVTPL).

Financial assets are not reclassified subsequent to their initial recognition unless the Group and Company change their business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at mortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal interest on the principal amount outstanding.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. On initial recognition, the Group and Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI or at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets - Business model assessment

The Group and Company make an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The following are considered in the assessment:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group and Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group and Company's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Financial assets - Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group and Company consider the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group and Company consider:

- contingent events that would change the amount or timing of cash flows:
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group and Company's claim to cash flows from specified assets (e.g. non-recourse features)

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract.

Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial instruments held by the Group and Company are classified in accordance with the provisions of IFRS 9 Financial Instruments. On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income; or fair value through profit or loss.

Broadly, the classification possibilities, which are adopted by the Group and Company ,as applicable, are as follows:

Financial assets which are equity instruments:

- Designated as at fair value through other comprehensive income. (This designation is not available to equity instruments which are held for trading or which are contingent consideration in a business combination).

Financial assets which are debt instruments:

- Amortised cost. (This category applies only when the contractual terms of the instrument give rise, on specified dates, to cash flows that are solely payments of principal and interest on principal, and where the instrument is held under a business model whose objective is met by holding the instrument to collect contractual cash flows); or
- Fair value through other comprehensive income. (This category applies only when the contractual terms of the instrument give rise, on specified dates, to cash flows that are solely payments of principal and interest on principal, and where the instrument is held under a business model whose objective is achieved by both collecting contractual cash flows and selling the instruments); or

Derivatives which are not part of a hedging relationship:

- Mandatorily at fair value through profit or loss.

Financial liabilities:

- Amortised cost; or designated at fair value

On initial recognition, the Group and Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Financial assets - Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method, The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in OCI and are reclassified to profit or loss.
Equity investment at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Note on Financial instruments and risk management presents the financial instruments held by the Group and Company based on their specific classifications.

(iii) Derecognition

The Group and Company derecognise a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the right to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial assets are transferred or in which the Group and Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group and Company enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised. The Group and Company derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group and Company also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different , in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

On derecognition of a financial asset other than in its entirely (e.g. when the entity retains an option to repurchase part of a transferred asset), the entity allocates the previous carrying amount of the financial asset between the part it continues to recognise under continuing involvement, and the part it no longer recognises on the basis of the relative fair value of those parts on the date of the transfer. A cumulative gain or loss that had been recognised in other comprehensive income is allocated between the part that continues to be recognised and the part that is no longer recognised on the basis of the relative fair values of those parts.

The Group and Company derecognises a financial liability only when its obligation is settled, cancelled or expired.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Trade and other receivables

Classification

Trade and other receivables (excluding, when applicable, VAT and prepayments) are classified as financial assets subsequently measured at amortised cost. Trade receivables are recognised initially at the transaction price, unless they contain significant financing component then they are recognised at fair value.

They have been classified in this manner because their contractual terms give rise, on specified dates to cash flows that are solely payments of principal and interest on the principal outstanding, and the Group and Company's business model is to collect the contractual cash flows on trade and other receivables.

Impairment

Financial instruments and contract assets

The Group and Company recognises loss allowances for Expected Credit Losses (ECLs) on:

- financial assets measured at amortised cost;

The Group and Company measure loss allowances at an amount equal to lifetime ECLs, except for the following, which are measured at 12-month ECLs:

- debt securities that are determined to have low credit risk at the reporting date; and
- other debt securities and bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowances for trade receivables are always measured at an amount equal to lifetime ECLs using a simplified impairment methodology adjusted for current conditions and forward looking information.

When determining or estimating whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group and Company consider reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group and Company's historical experience and informed credit assessment and including forward- looking information. Forward-looking information considered includes the future prospects of the industries in which the Group and Company’s debtors operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think-tanks and other similar organisations, as well as consideration of various external sources of actual and forecast economic information that relate to the Group and Company’s core operations.The macro economic variables used in determining the Group and Company's FLI are GDP growth rate and prime lending rate.

The Group and Company assume that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group and Company consider a financial asset to be in default when;

- the borrower is unlikely to pay its credit obligation to the Group and Company in full, without recourse by the Group and Company to actions such as realizing security (if any is held); or
- the financial asset is more than 90 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months)

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company are exposed to credit risk.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group and Company expect to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit impaired financial assets

At each reporting date, the Group and Company assesses financial assets carried at amortised cost as credit-impaired. A financial asset is "credit impaired" when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- a breach of contract such as a default or being more than 90 days past due.

Loss allowance for the financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Presentation of allowance for ECL in the Statement of Financial Position

Loss allowance for financial assets measured at amortised costs are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off when the Group and Company have no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group and Company has a policy of writing off the gross carrying amount when the financial asset is more than 1 year past due based on historical experience of recoveries of similar assets. For corporate customers, the Group and Company individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Group and Company expect no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group and Company's procedure for recovery of amounts due. Any recovery made is recognized in profit or loss.

Cash and cash equivalents

Cash and cash equivalents comprise current balances with banks and similar institutions, and highly liquid investments generally with maturities of three months or less. Term deposit with tenor of one year or less are also included in cash and cash equivalents if they are held for short term cash commitments rather than for investment or other purposes. Cash equivalents are readily convertible into known amounts of cash and have an insignificant risk of changes in value. Cash and cash equivalents are stated at carrying amount which is deemed to be fair value.

Borrowings and loans

Recognition and measurement

Borrowings and loans are recognised when the Group and Company becomes a party to the contractual provisions of the loan. The loans are measured at initial recognition, at fair value plus transaction costs if any.

They are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortised cost of a financial liability.

Interest expense, calculated on the effective interest method, is included in profit or loss in finance costs.

Borrowings expose the Group and Company to liquidity risk and interest rate risk. Refer to Note 46 for details of risk exposure and management thereof.

Trade and other payables

Recognition and measurement

They are recognised when the Group and Company becomes a party to the contractual provisions, and are measured, at initial recognition, at fair value plus transaction costs, if any.

They are subsequently measured at amortised cost using the effective interest method if the impact of discounting is material.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortised cost of a financial liability.

If trade and other payables contain a significant financing component, and the effective interest method results in the recognition of interest expense, then it is included in profit or loss in finance costs.

Trade and other payables expose the Group and Company to liquidity risk and possibly to interest rate risk. Refer to Note 39 for details of risk exposure and management thereof.

Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group and Company currently have a legally enforceable right to set off the amounts and they intend either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

Derecognition

Financial assets

The Group or Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party to which the Group or Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset. If the Group or Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group or Company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group or Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

Financial liabilities

The Group and Company derecognise financial liabilities when, and only when, the Group and Company obligations are discharged, cancelled or they expire. The Group and Company also derecognise a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cashflows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any cost and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Government grants

Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group and Company with no future related costs are recognised in profit or loss in the period in which they become receivable.

The benefit of a government loan at a below-market rate of interest is treated as a government grant, measured as the difference between proceeds received and the fair value of the loan based on prevailing market interest rates.

Government grants are not recognised until there is reasonable assurance that the Group and Company will comply with the conditions attaching to them and that the grants will be received.

Government grants are recognised in profit or loss on a systematic basis over the periods in which the Group and Company recognises as expenses the related costs for which the grants are intended to compensate. While the balance at year-end that is yet to be recognised in profit or loss is recognised in the Statement of Financial Position as deferred income splitted between Current and Non-current liabilities.

2.3.5 Research and Development

Expenditure on research activities is recognised in profit or loss as incurred.

Development expenditure is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Otherwise, it is recognised in profit or loss as incurred. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses.

2.3.6 Taxation

Income tax expense represents the sum of current tax expense and deferred tax expense.

Current tax and deferred tax are recognized in income statement except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income.

(i) Current Tax Expense

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates statutorily enacted at the reporting date, and any adjustment to tax payable in respect of previous years. The Group and Company is subject to the following types of current income tax:

- Company income tax is computed on taxable profits
- Tertiary education tax is computed on assessable profits
- Nigeria Police Trust Fund levy is computed on net profit (i.e. profit after deducting all expenses and taxes from revenue earned by the company during the year).

Total amount of tax payable under Company Income Tax Act is determined based on the higher of two components namely Company Income Tax (based on taxable income (or loss) for the year) and minimum tax. Taxes based on profit for the period are treated as income tax in line with IAS 12.

The Group and Company offset the tax assets arising from withholding tax (WHT) credits and current tax liabilities if, and only if, the entity has a legally enforceable right to set off the recognised amounts, and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously. The tax asset is reviewed at each reporting date and written down to the extent that it is no longer probable that future economic benefit would be realised.

Minimum tax, which is based on a gross amount is outside the scope of IAS 12 and therefore not presented as part of income tax expense in the profit or loss. Minimum tax was computed when the Group and Company has no assessable or total profits, or tax payable which was less than minimum tax. The prevailing rate for minimum tax is 0.5% of gross turnover. The Finance Act (2020) defines ‘gross turnover’ as the gross inflow of economic benefits arising from operating activities of a company including sales of goods, supply of services, receipt of interest, rents, royalties, or dividends. The Group and the Company recognise minimum tax payable to the tax authority as part of their company income tax payable in the statement of financial position.

Nigeria Police Trust Fund levy-Nigeria Police Trust Fund levy is based on the Net profit of the Group and Company and is governed by the Nigeria Police Trust Fund (Establishment) Act, 2019.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Impact of the Nigerian Tax Act (NTA) 2025

Development levy

In accordance with the Nigerian Tax Act 2025, the Company is subject to a Development Levy, effective from 1 January 2026. The Development Levy replaces and consolidates previous levies including the Tertiary Education Tax (TET), Information Technology Levy (IT), the National Agency for Science and Engineering Infrastructure (NASENI) levy, and the Police Trust Fund (PTF) levy. It is calculated at a rate of 4% on the Company's assessable profits.

Minimum effective tax rate

In accordance with the Nigerian Tax Act 2025, the Company is subject to a minimum effective tax rate of 15% on its "profits" where its annual revenue exceeds NGN 20 billion. For the purpose of this calculation, "profits" are defined as the net profit before tax as reported in the audited financial statements, less 5% of the depreciation and personnel costs incurred during the year. This adjustment serves to exclude components relating to substantive business activities such as capital investment and employment costs, aligning with the Organisation for Economic Cooperation and Development (OECD) international tax guidelines.

The Nigerian Tax Act 2025 applies to the Company's tax assessments from the financial year ending 31 March 2026 onwards. Consequently, the comparative amounts for prior periods are calculated based on the provisions of the Companies Income Tax Act (as amended).

(ii) Deferred tax assets and liabilities

Deferred tax is recognized in respect of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognized for:

Taxable temporary differences arising on the initial recognition of goodwill.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group and Company expects, at the end of the reporting period, to recover or settle the carrying amounts of its assets and liabilities. For investment property that is measured at fair value, the presumption that the carrying amount of the investment property will be recovered through sale has not been rebutted.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for unused tax losses and for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

(iii) Tax Exposure

In determining the amount of current and deferred tax, the Group and Company takes into account the impact of uncertain tax positions and whether additional taxes and interest may be due.This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Group and Company to change its judgment regarding the adequacy of existing tax liabilities; such changes to tax liabilities will impact tax expenses in the period that such determination is made.

2.3.7 Leases

The Group and Company assesses whether a contract is, or contains a lease, at the inception of the contract.

A contract is, or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

In order to assess whether a contract is, or contains a lease, management determine whether the asset under consideration is "identified", which means that the asset is either explicitly or implicitly specified in the contract and that the supplier does not have a substantial rightof substitution throughout the period of use. Once management has concluded that the contract deals with an identified asset, the right to control the use thereof is considered. To this end, control over the use of an identified asset only exists when the Group and Company has the right to substantially all of the economic benefits from the use of the asset as well as the right to direct the use of the asset.

In circumstances where the determination of whether the contract is or contains a lease requires significant judgement, the relevant disclosures are provided in the significant judgments and sources of estimation uncertainty section of these accounting policies.

(i) As a lessee

At commencement or on modification of a contract that contains a lease component, the Group and Company allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group and Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group and Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group and Company by the end of the lease term or the cost of the right-of-use asset reflects that the Group and Companyy will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group and Company's incremental borrowing rate. Generally, the Group and Company uses its incremental borrowing rate as the discount rate.

The Group and Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group and Company is reasonably certain to exercise, lease payments in an optional renewal period if the Group and Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group and Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group and Company's estimate of the amount expected to be payable under a residual value guarantee, if the Group and Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

2.3.7 Leases Continued

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group and Company presents right-of-use assets that do not meet the definition of investment property and lease liabilities as separate items in the statement of financial position.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

A lease modification is a change in the scope of a lease, or the consideration for a lease, that was not part of its original terms and conditions.

- for a modification that is not a separate lease, at the effective date of the modification, the Group and Company account for it by remeasuring the lease liability using a discount rate determined at that date and:
- for modifications that decrease the scope of the lease, the Group and Company account for it by decreasing the carrying amount of the right-of-use asset to reflect the partial or full termination of the lease, and recognising a gain or loss that reflects the proportionate decrease in scope; and
- for all other modifications, the Group and Company account for it by making a corresponding adjustment to the right-of-use asset.

(ii) As a lessor

At inception or on modification of a contract that contains a lease component, the Group and Company allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

When the- Group and Company acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group and Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, theGroup and Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Group and Company is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group and Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

The Group and Company applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Group and Company further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

The Group and Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'other revenue'.

Generally, the accounting policies applicable to the Group and Company as a lessor in the comparative period were not different from IFRS 16 except for the classification of the sub-lease entered into during current reporting period that resulted in a finance lease classification.

The Group and Company has elected not to recognise right-of-use assets and lease liabilities for leases of short term and low value assets. The Group and Company recognises the lease payments associated with these leases as expenses on a straight line over the lease term.

Rental income from letting property is recognised in the profit or loss on a straight-line basis over the term of the lease. Lease incentives granted are considered as an integral part of the total rental income and recognised over the term of the lease. Rental income from the ordinary business of the Group and Company is recognised as revenue, while rental income from activities other than the ordinary business are recognised in net operating gains or losses.

2.3.8 Inventories

Inventories are measured at the lower of cost and net realisable value. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

The basis of costing of different Inventory types are as follows:

- Raw materials components: Purchase cost including transportation and other incidental cost on a First In First Out (FIFO) basis.
- Goods in transit: Purchase cost incurred to date and other incidental costs and recognised as part of raw materials, consumable stores and maintenance spares as applicable

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

- Work in progress: Weighted average cost
- Finished goods: Purchase cost of direct materials, labour and a reasonable allocation of overhead sbased on normal operating capacity on a weighted average basis.
- Consumable stores and maintenance spares: Weighted average cost.

The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs.The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, are recognised as part of cost of raw and packaging materials' in the period in which the reversal occurs.

Inventories include a "right to returned goods" which represents the Group and Company's right to recover products from customers where customers exercise their right of return under the Group and Company returns policy. The Group and Company uses its accumulated historical experience to estimate the number of returns on a portfolio level using the expected value method. A corresponding adjustment is recognised against cost of sales.

Spare parts and servicing equipment are usually carried as inventory and recognized in profit or loss using the weighted average cost method as consumed.However, major spare parts and stand-by equipment qualify as property, plant and equipment when the Group and Company expects to use them during more than that one period. Similarly, if the spare parts and servicing equipment can be used only in connection with an item of property, plant and equipment, they are accounted for as property, plant and equipment. Such classified spares are depreciated as property, plant and equipment over the useful life on a straight line basis.

2.3.9 Impairment of Assets

The Group and Company assesses at each end of the reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Group and Company estimates the recoverable amount of the asset.

Irrespective of whether there is any indication of impairment, the Group and Company also:

- Tests intangible assets with an indefinite useful life or intangible assets not yet available for use for impairment annually by comparing its carrying amount with its recoverable amount.

This impairment test is performed during the annual period and at the same time every period.

- Tests goodwill acquired in a business combination for impairment annually.

If there is any indication that an asset may be impaired, the recoverable amount is estimated for the individual asset. If it is not possible to estimate the recoverable amount of the individual asset, the recoverable amount of the cash-generating unit to which the asset belongs is determined.

The recoverable amount of an asset or a cash-generating unit is the higher of its fair value less costs to sell and its value in use.

If the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. That reduction is an impairment loss.

An impairment loss of assets carried at cost less any accumulated depreciation or amortisation is recognised immediately in profit or loss. Any impairment loss of a revalued asset is treated as a revaluation decrease.

An entity assesses at each reporting date whether there is any indication that an impairment loss recognised in prior periods for assets other than goodwill may no longer exist or may have decreased. If any such indication exists, the recoverable amounts of those assets are estimated.

2.3.9 Impairment of Assets Continued

The increased carrying amount of an asset other than goodwill attributable to a reversal of an impairment loss does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior periods.

A reversal of an impairment loss of assets carried at cost less accumulated depreciation or amortisation other than goodwill is recognised immediately in profit or loss. Any reversalof an impairment loss of a revalued asset is treated as a revaluation increase.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

2.3.10 Share Capital and Equity

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Ordinary shares are recognised at par value and classified as 'share capital' in equity. Any amount received from the issue of shares in excess of par value is classified as 'sharepremium' in equity. Dividends are recognised as a liability to the company in which they are declared.

2.3.11 Employee Benefits

(i) Defined Contribution Plans

The Group and Company operates a defined contribution plan which is funded by contributions from the Group and Company and the employees. The Group and Company's contribution is recognized as employee benefit expenses and charged to the income statement. The contributions of both the company and the employees are paid on a monthly basis to a Pension Fund Administrator. The Group and Company has no legal or constructive obligation to pay further contributions if the Pension Fund Administrator does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The contributions are recognized as employee benefit expenses when they are due.

(ii) Short-term Benefit

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognized for the amount expected to be paid under short-term cash bonus or profit sharing plan if the Group and Company has a present legal or constructive obligation to pay this amount as a result of past services provided by the employee, and the obligation can be estimated reliably.

(iii) Long service award

In addition, the Group and Company operates long service award for its qualified staff. The benefits are graduated depending on the employees' number of years in service to the Group and Company. The Group and Company's obligation in respect of the scheme is the amount of future benefits that employees have earned in return for their service in the current and prior periods. The benefit is discounted to determine its present value. The discount rate is the yield at the reporting date on Federal Government of Nigeria issued bonds that have maturity dates approximate to the term of the Group and Company's defined benefits obligation. The obligation is determined by an independent actuary at each reporting period. When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group and Company recognises gains and losses on the settlement of a long service award when the settlement occurs. Gains or losses due to remeasurement of long service awards are recognised in profit or loss.

(iv) Termination benefits

Termination benefits are expensed at the earlier of when the Group and Company can no longer withdraw the offer of those benefits and when the Group and Company recognises costs for a restructuring. If benefits are not expected to be settled wholly within 12 months of the reporting date, then they are discounted.

2.3.12 Provisions and Contingencies

Provisions are recognized when the Group and Company has a present legal or constructive obligation as a result of a past event, and it is probable that the Group and Company will be required to settle that obligation and the amount has been reliably estimated. Provisions for restructuring costs are recognized when the Group and Company has a detailed formal plan for the restructuring that hasbeen communicated to affected parties. Provisions are not recognized for future operating losses.

Provisions are measured at the present value of the expenditures expected to be acquired to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense.

2.3.13 Revenue from Contracts with Customers

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group and Company's activities. Revenue is shown net of value-added tax, returns, rebates and discounts.

Nature and timing of satisfaction of performance obligation, including significant payment terms

Customers gain control of goods when the goods have been delivered and accepted at their premises or when the goods are picked up by the customer. Invoices are generated at that point in time. Invoices are usually payable within 30 days. If it is probable that discounts will be granted and the amount can be measured reliably, then the discount is recognised as a reduction of revenue as the sales are recognised.

Revenue recognition

(i) Sale of goods

Revenue is recognised when the goods are delivered and have been accepted by customers at their premises or when the goods are picked up by the customer.

For contracts that permit the customer to return an item, revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur. Therefore, the amount of revenue recognised is adjusted for expected returns, which are estimated based on the historical data. In these circumstances, a refund liability and a right to recover returned goods asset are recognised. The right to recover returned goods asset is measured at the former carrying amount of the inventory less any expected costs to recover goods. The Group and Company reviews its estimate of expected returns at each reporting date and updates the amounts of the asset and liability accordingly.

(ii) Rendering of services

Revenue represents the net value of services in respect of various services which includes sales of flour, sales of pasta and haulage service. The above services can be obtained from other providers and do not significantly customise or modify the sale of the Group's products. The Group recognises revenue from port and haulage services over time.

(iii) Contract liabilities

Advance payments received for goods yet to be delivered and services yet to be rendered by the Group and Company are recognized as contract liabilities on the statement of financial position and revenue is recognised as soon as goods have been delivered or services have been rendered.

(iv) Interest Income

Interest income is recognized using the effective interest rate method. When a loan and receivable is impaired, the Group and Company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the investment, and continues unwinding the discount as interest income. Interest income on impaired loan and receivables are recognized using the original effective interest rate.

2.3.14 Dividend Distribution

Dividend distribution to the Company's shareholders is recognized as a liability in the Company's financial statements in the period in which the dividends are approved by the Company's shareholders. Dividend liabilities are de-recognized once paid.

2.3.15 Earnings per Share

The Group and Company presents earnings per share (EPS) data for its ordinary shares. EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group and Company by the weighted averaged number of ordinary shares outstanding during the year,

2.3.16 Cost of Sales

When inventories are sold, the carrying amount of those inventories is recognised as an expense in the period in which the related revenue is recognised. The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, is recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

2.4 Consolidation

Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and its subsidiaries. Subsidiaries are entities controlled by the Group.

Subsidiary

The Group 'controls' an entity if it is exposed to, or has right to, variable returns from involvement with the entity and has the ability to affect those returns through its power over the entity. This is generally accompanied by a share of more than 50% of the voting rights. The financial information of the subsidiaries are prepared as of the same reporting date and consolidated using consistent accounting policies. Subsidiaries are consolidated from the date on which control is transferred to the Group and are included until the date on which the Group ceases to control them.

All intra-group transactions, balances, income and expenses are eliminated in full on consolidation.

Interests in subsidiaries in company separate financial statements

In the Company's separate financial statements, investments in subsidiaries are carried at cost less any accumulated impairment. The cost of an investment in a subsidiary is the aggregate of:

- the fair value, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the company; plus
- any costs directly attributable to the purchase of the subsidiary.

Investments in subsidiaries are eliminated on consolidation in the Group financial statements.

Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary and any related non-controlling interest and other component of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3 Significant accounting judgements, estimates and assumptions

The preparation of the financial statements in conformity with the IFRS requires management to make judgments, estimates and assumption that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed in an on-going basis. Revision to accounting estimates are recognized in the year in which the estimates are revised and in any future years affected.

Information about critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements is included in the following notes:-

- measurement of defined benefit obligations;
- provisions and contingencies; and
- measurement of Expected Credit Loss (ECL) allowances for the trade and other receivables and key assumptions in determining the weighted-average loss rate.

Refer to note 37 for details of use of estimates and judgments

4 Change in accounting Policy

4.1 New standards, amendments and Interpretations that became effective during the year

Amendments to the following standard(s) became effective in the annual period starting from 1 April 2025. The new reporting requirements as a result of the amendments and/or clarifications have been evaluated and their impact or otherwise are noted below:

Amendments to IAS 21 - Lack of Exchangeability (effective for reporting periods beginning on or after 1 January 2025)

An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay), and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

These amendments will require companies to apply a consistent approach in assessing whether a currency can be exchanged into another currency and, when it cannot, in determining the exchange rate to use and the disclosures to provide.

The amendment did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

4.2 New Standards, amendments and Interpretations issued but not yet effective

The following standards have been issued or amended by the IASB but are yet to be effective as at the reporting date:

- Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7 (effective for reporting periods beginning on or after 1 January 2026)
- Amendments to IFRS 9 and IFRS 7 - Contracts Referencing Nature-dependent Electricity
- IFRS 18 - Presentation and Disclosure in Financial Statements (effective for reporting periods beginning on or after 1 January 2027)
- IFRS 19 - Subsidiaries without Public Accountability: Disclosures (effective for reporting periods beginning on or after 1 January 2027)
- Annual Improvements to IFRS Accounting Standards - Volume II
- Amendments to IAS 21 - Translation to a hyperinflationary presentation currency

Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7 (effective for reporting periods beginning on or after 1 January 2026)

On 30 May 2024, the IASB issued targeted amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures to respond to recent questions arising in practice, and to include new requirements not only for financial institutions but also for corporate entities. These amendments:

- clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
- clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion;
- add new disclosures for certain instruments with contractual terms that can change cash flows (such as some financial instruments with features linked to the achievement of environment, social and governance targets); and
- update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI).

The Group and Company does not expect these amendments to have a material impact on its operations or financial statements.

Amendments to IFRS 9 and IFRS 7 - Contracts Referencing Nature-dependent Electricity

In December 2024, the IASB Board issued Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7). The amendments clarify the 'own use', but the guidance permitting hedge accounting have to be applied prospectively to new hedging relationships designated on or after the date of initial application. The amendment include:

- Clarifying the application of the 'own-use' requirements
- Permitting hedge accounting if these contracts are used as hedging instruments
- Adding new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows.

The Company does not expect these amendments to have a material impact on its operations or financial statements.

IFRS 18 - Presentation and Disclosure in Financial Statements (effective for reporting periods beginning on or after 1 January 2027)

IFRS 18 will replace IAS 1 Presentation of financial statements, introducing new requirements that will help to achieve comparability of the financial performance of similar entities and provide more relevant information and transparency to users. Even though IFRS 18 will not impact the recognition or measurement of items in the financial statements, its impacts on presentation and disclosure are expected to be pervasive, in particular those related to the statement of financial performance and providing management-defined performance measures within the financial statements.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

- Management is currently assessing the detailed implications of applying the new standard on the Group and Company's financial statements. From the high-level preliminary assessment performed, the following potential impacts have been identified:

i. Although the adoption of IFRS 18 will have no impact on the Group and Company's net profit, the Group and Company expects that grouping items of income and expenses in the statement of profit or loss into the new categories will impact how operating profit is calculated and reported. From the high-level impact assessment that the Group and Company has performed, the following items might potentially impact operating profit:

   - Foreign exchange differences might need to be disaggregated, with some foreign exchange gains or losses presented below operating profit.

   - IFRS 18 has specific requirements on the category in which derivative gains or losses are recognised – which is the same category as the income and expenses affected by the risk that the derivative is used to manage.

ii. The line items presented on the primary financial statements might change as a result of the application of the concept of 'useful structured summary' and the enhanced principles on aggregation and disaggregation.

iii. The Group and Company does not expect there to be a significant change in the information that is currently disclosed in the notes because the requirement to disclose material information remains unchanged; however, the way in which the information is grouped might change as a result of the aggregation/disaggregation principles. In addition, there will be significant new disclosures required for:

IFRS 18 - Presentation and Disclosure in Financial Statements (effective for reporting periods beginning on or after 1 January 2027) Continued

   - management-defined performance measures;
   - a break-down of the nature of expenses for line items presented by function in the operating category of the statement of profit or loss – this break-down is only required for certain nature expenses; and
   - for the first annual period of application of IFRS 18, a reconciliation for each line item in the statement of profit or loss between the restated amounts presented by applying IFRS 18 and the amounts previously presented applying IAS 1

iv. From a cash flow statement perspective, there will be changes to how interest received and interest paid are presented. Interest paid will be presented as financing cash flows and interest received as investing cash flows, which is a change from current presentation as part of operating cash flows.

The Group and Company will apply the new standard from its mandatory effective date of 1 January 2027. Retrospective application is required, and so the comparative information for the financial year ending 31 December 2026 will be restated in accordance with IFRS 18. The Standard is expected to have a material impact on the entity as it might require system and process changes.

IFRS 19 - Subsidiaries without Public Accountability: Disclosures (effective for reporting periods beginning on or after 1 'January 2027)

This new standard works alongside other IFRS Accounting Standards. An eligible subsidiary applies the requirements in other IFRS Accounting Standards except for the disclosure requirements; and it applies instead the reduced disclosure requirements in IFRS 19. IFRS 19's reduced disclosure requirements balance the information needs of the users of eligible subsidiaries' financial statements with cost savings for preparers. IFRS 19 is a voluntary standard for eligible subsidiaries. A subsidiary is eligible if:

- it does not have public accountability; and
- it has an ultimate or intermediate parent that produces consolidated financial statements available

The standard is not expected to have a material impact on the entity in the current or future reporting periods and on foreseeable future transactions.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Annual Improvements to IFRS Accounting Standards - Volume II (effective for annual periods beginning on or after 1 January 2026)

The IASB has made the following improvements in September 2024:

IFRS 1, 'First-time Adoption of International Financial Reporting' to improve consistency between IFRS 1 and IFRS 9, 'Financial Instruments', in relation to the requirements for hedge accounting, and to improve the understandability of IFRS 1;

IFRS 7, 'Financial Instruments: Disclosures' to improve consistency in the language used in IFRS 7 with the language used in IFRS 13, 'Fair Value Measurement';

IFRS 9 to clarify how a lessee accounts for the derecognition of a lease liability when it is extinguished, and to address an inconsistency between IFRS 9 and IFRS 15, 'Revenue from Contracts with Customers', in relation to the term 'transaction price';

IFRS 10, 'Consolidated Financial Statements' to clarify the requirements in relation to determining de facto agents of an entity; and

IAS 7, 'Statement of Cash Flows' to replace the term 'cost method' with 'at cost', since the term is no longer defined in IFRS Accounting Standards.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

5 Segment Reporting

The Company's business reportable segments are identified by the factories located at Tincan, and Sagamu. The Tincan segment manufactures Flour, Semo and Wheat meal while Sagamu segments manufacture Noodles and Pasta.

The chief operating decision maker , who is responsible for allocating resources and accessing performance of the operating segments, is the Board of Directors.

The Board reviews the company's quarterly financial and operational information in order to assess its performance and allocate resources,

The chief operating decision maker assesses the performance based on the operating profits for each operating segments.

Below is the summary of the operations from the two (2025: two) segments of the company:

31 March, 2026	**Tincan**	**Sagamu**	**Total**
Group	**N’000**	**N’000**	**N’000**
Revenue	325,202,759	35,646,399	360,849,158
Cost of sales	(302,986,414)	(21,432,405)	(324,418,819)
Gross profit	**22,216,345**	**14,213,994**	**36,430,339**
Other income/ (loss)	15,977,414	(12,574,901)	3,402,513
Selling and distribution expenses	(10,139,663)	(1,243,751)	(11,383,414)
Administrative expenses	(7,968,977)	(2,002,341)	(9,971,318)
Impairment loss on trade receivables	(270,192)	(1,631,076)	(1,901,268)
Operating profit/(loss)	**19,814,927**	**(3,238,075)**	**16,576,852**
Finance income	5,413,526	3,810,530	9,224,056
Finance cost	(3,346,891)	(557,815)	(3,904,706)
Profit before taxation	**21,881,562**	**14,640**	**21,896,202**
Income tax expense	(964,863)	(4,444,461)	(5,409,324)
Profit/(Loss) for the year	**20,916,699**	**(4,429,821)**	**16,486,878**
Segment assets and liabilities			
Total assets	136,526,781	80,182,395	216,709,176
Total liabilities	116,906,540	45,870,597	162,777,137

	Apapa	**Sagamu**	**Total**
31 March, 2025	**N’000**	**N’000**	**N’000**
Revenue	284,200,334	89,308,911	373,509,245
Cost of sales	(254,808,614)	(86,455,246)	(341,263,860)
Gross profit	**29,391,720**	**2,853,665**	**32,245,385**
Other income	4,645,295	275,334	4,920,629
Selling and distribution expenses	(3,400,342)	(1,179,962)	(4,580,304)
Administrative expenses	(9,371,955)	(2,908,349)	(12,280,304)
Impairment loss on trade receivables	(1,687,692)	(532,955)	(2,220,648)
Operating profit/(loss)	**19,577,026**	**(1,492,267)**	**18,084,758**
Finance income	6,494,418	2,049,036	8,543,454
Finance cost	(4,128,378)	(1,300,358)	(5,428,736)
Profit/(Loss) before taxation	**21,943,066**	**(743,589)**	**21,199,476**
Income tax expense	(5,024,228)	(1,586,598)	(6,610,826)
Profit/(Loss) for the year	**16,918,838**	**(2,330,187)**	**14,588,650**
Segment assets and liabilities			
Total assets	105,491,128	61,955,108	167,446,236
Total liabilities	93,366,772	36,634,303	130,001,074

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Operating expenses – Continued

		Group		Company	
6	**Revenue**	**2026**	**2025**	**2026**	**2025**
	Revenue from contracts with customers	**N'000**	**N'000**	**N'000**	**N'000**
	Sale of goods	353,884,603	368,273,487	348,989,781	368,273,487
	Rendering of services	6,964,555	5,235,758	6,964,555	5,235,758
		360,849,158	**373,509,245**	**355,954,336**	**373,509,245**

		Group		Company	
6.1	**Disaggregated revenue information**	**2026**	**2025**	**2026**	**2025**
	Sales of goods - point in time	**N'000**	**N'000**	**N'000**	**N'000**
	Flour products	318,238,204	278,964,576	318,238,204	278,964,576
	Pasta products	35,646,399	89,308,911	30,751,577	89,308,911
	Provision of services - point in time				
	Haulage services	6,964,555	5,235,758	6,964,555	5,235,758
	Total revenue	**360,849,158**	**373,509,245**	**355,954,336**	**373,509,245**

			Group		Company	
6.2	**Contract balances**		**2026**	**2025**	**2026**	**2025**
			N'000	**N'000**	**N'000**	**N'000**
	Trade receivables	Note 22	4,195,979	3,912,159	4,195,979	3,912,159
	Contract liabilities	Note 30	18,168,143	8,791,751	18,168,143	8,791,751

Contract liabilities represent the advance payments made by customers for goods yet to be supplied.

			Group		Company	
7	**Cost of Sales**		**2026**	**2025**	**2026**	**2025**
	Cost of sales is analysed by nature as follows:		**N'000**	**N'000**	**N'000**	**N'000**
	Raw and packaging materials consumed	Note 21	291,219,552	306,936,408	291,808,268	306,936,407
	Employee costs	Note 14.2	5,720,640	3,601,403	4,619,272	3,601,403
	Depreciation	Note 15	4,912,253	5,866,158	3,549,127	5,866,159
	Plant maintenance and power cost		13,644,073	13,258,125	11,240,849	13,258,125
	Freight expenses		7,289,940	10,456,432	7,289,941	10,456,432
	Other manufacturing expenses**		1,632,361	1,145,333	1,189,372	1,145,333
			324,418,819	**341,263,860**	**319,696,829**	**341,263,860**

** Other manufacturing expenses consist of insurance, regulation related expenses, security expenses , cleaning and funmigation expenses, stationery and other factory consumables.

			Group		Company	
8	**Other income**		**2026**	**2025**	**2026**	**2025**
			N'000	**N'000**	**N'000**	**N'000**
	Government Grant Income	Note 26	886,015	1,136,453	886,015	1,136,453
	Net gain on sale of property	Note 16.1	-	184,903	-	184,903
	Sundry income*		2,516,498	3,599,273	1,660,584	3,599,273
			3,402,513	**4,920,629**	**2,546,599**	**4,920,629**

* Sundry income relate to miscelleneous income and sales of scraps

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

9 Operating Expenses

The total of selling and distribution expenses, and administrative expenses, are analysed by nature as follows:

9.1 Selling and distribution expenses (analysed by nature)

		Group		Company	
		2026	2025	2026	2025
		N'000	N'000	N'000	N'000
Employees cost	Note 14.2	143,151	156,137	130,394	156,137
Delivery expenses		129,708	148,908	129,708	148,908
Insurance		-	89,084	-	89,084
Consulting and other professionals fee		365	2,482	365	2,482
Subscriptions		9,893	4,511	9,893	4,511
Travelling and accommodation expenses		43,861	31,767	38,227	31,767
Motor vehicle maintenance and running expenses		5,092	22,109	5,092	22,109
Marketing expenses		6,312,797	1,247,372	6,312,797	1,247,372
Depreciation and amortization	Note 15	13,987	46,014	13,987	46,014
Product development expenses		4,688,212	1,420,150	4,688,212	1,420,150
Sales Incentive		-	1,390,103	-	1,390,103
Other expenses **		36,348	21,668	3,278	21,668
		11,383,414	4,580,304	11,331,953	4,580,304

** Other expenses comprises Security expenses, Generators running expenses and Communication expenses

9.2 Administrative expenses (analysed by nature)

		Group		Company	
		2026	2025	2026	2025
		N'000	N'000	N'000	N'000
Directors' fees and other emolument	Note 14.2	237,532	72,389	135,249	72,389
Employees cost	Note 14.2	791,355	434,227	820,264	434,227
Delivery expenses		-	398	-	398
Loss on intangible assets written off		-	6	-	6
Insurance		-	128,907	-	128,907
Audit fees*		68,695	40,227	34,983	32,702
Consulting and other professionals fee**		83,975	241,122	71,459	241,122
Subscriptions		13,631	12,322	6,461	12,322
Travelling and accommodation expenses		237,955	123,790	174,491	123,790
Computer hardware maintenance expenses		187,446	28,373	160,973	28,373
Bank charges		184,538	398,562	179,897	398,562
Motor vehicle maintenance and running expenses		1,294,752	259,298	1,272,944	259,298
Depreciation and amortization	Note 15	231,842	274,580	218,630	274,580
Impairment loss on property, plant & equipment	Note 15	-	3,263,590	-	3,263,590
Impairment of prepayment		-	5,850,000	-	5,850,000
Fees & Licence		367,162	186,007	277,535	-
Repairs and maintenance		1,647,762	-	1,592,587	-
Security services		44,107	52,004	19,671	52,004
Group Service Charge		3,767,001	588,168	3,767,001	588,168
Non income taxes, fines and penalties		617,239	-	617,240	-
Other expenses ***		196,326	326,335	141,485	326,335
		9,971,318	12,280,304	9,490,870	12,086,772

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

9 Operating Expenses - Continued

* **Non-audit Services**

The Company engages Messrs Ernst and Young for ICFR assurance service. The service was carried out at 31 March 2026 by Willimas I. Erimoma FRC/2013/PRO/ICAN/004/00000002190 of Messrs Ernst and Young FRC/2023/COY/209403. These service, in the Company's opinion, did not impair the independence and objectivity of the external auditor. The fees paid for this nonaudit service is N7 million (2025: N6.6 million)

** Detail of professionals providing other forms of professional services on the financial statements are as follows:

Firm	Nature of services	FRC number of firm	Name of professional	FRC number of professional
Deloitte & Touche	Actuarial valuation of LSA	FRC/2022/COY/091021	Takalani Sikhavhakhavha	FRC/2023/PRO/NAS/004/802144

*** Other expenses comprises of Communication expenses and Office consumables

9.3

		Group		Company	
		2026	**2025**	**2026**	**2025**
		N'000	**N'000**	**N'000**	**N'000**
Net foreign exchange gain		(4,318,798)	(5,057,903)	(5,332,266)	(5,057,903)
Analysis of foreign exchange difference					
Net exchange loss/(gain) on cash and cash equivalent		928,574	(4,038)	1,160,679	(4,038)
Net exchange (gain)/loss on trade and other payable		(2,067,500)	567,086	(1,454,467)	567,086
Net exchange loss/(gain) on trade and other receivables		557,720	-	(460,013)	-
Net exchange loss on short-term finance (Usance)		-	224,822	-	224,822
Unrealised exchange (gain)/loss	Note 12	(581,206)	787,870	(753,800)	787,870
Realised exchange gain	Note 11	(3,737,592)	(5,845,773)	(4,578,465)	(5,845,773)
		(4,318,798)	**(5,057,903)**	**(5,332,266)**	**(5,057,903)**

9.4 Impairment loss on trade receivables	Note 22.4	(21,100)	538,328	(21,100)	538,328
Impairment loss on related parties receivables	Note 22.4	373,458	1,573,454	373,458	1,573,454
		352,358	2,111,782	352,358	2,111,782
Impairment loss on long term loan	Note 19.2	1,548,910	108,866	1,548,910	108,866
		1,901,268	**2,220,648**	**1,901,268**	**2,220,648**

		Group		Company	
10 Operating profit before tax		**2026**	**2025**	**2026**	**2025**
Operating profit for the year is stated after charging the following, amongst others:		**N'000**	**N'000**	**N'000**	**N'000**
Audit fees		68,695	40,227	34,983	32,702
Consulting and professional services		84,340	243,604	71,825	243,604
Directors' emolument	Note 14.2	237,532	72,389	135,249	72,389
Employee costs	Note 14.2	6,655,146	4,191,768	5,569,929	4,191,768
Depreciation and amortization	Note 15	5,158,082	6,186,752	3,781,744	6,186,753
		12,203,795	10,734,739	9,593,730	10,727,215

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

			Group		Company	
11	**Finance income**		**2026**	**2025**	**2026**	**2025**
			N'000	**N'000**	**N'000**	**N'000**
	Interest income from loans to related parties	Note 19.1	4,802,737	2,697,681	4,802,737	2,697,681
	Interest income from bank deposits		102,521	-	102,521	-
	Total interest income		4,905,258	2,697,681	4,905,258	2,697,681
	Exchange gain	Note 9.3	4,318,798	5,845,773	5,332,265	5,845,773
			9,224,056	**8,543,454**	**10,237,523**	**8,543,454**

Interest income of N4.8 billion (2025: N2.7 billion) was earned on intercompany loan receivable during the year

			Group		Company	
12	**Finance cost**		**2026**	**2025**	**2026**	**2025**
			N'000	**N'000**	**N'000**	**N'000**
	Interest expense on bank loan		1,033,487	659,645	1,033,487	659,645
	Interest expense on subsidized loan		2,221,970	3,865,203	2,221,970	3,865,203
	Interest expense on loan from related party		533,967	-	533,967	-
		Note 25.1	3,789,424	4,524,848	3,789,424	4,524,848
	Loss on exchange difference	Note 9.3	-	787,870	-	787,870
	Interest expense on lease liabilities	Note 27	115,282	116,018	115,282	116,018
	Total finance cost		**3,904,706**	**5,428,736**	**3,904,706**	**5,428,736**

13 Earnings per share

Basic earnings per share

Basic earnings per share is determined by dividing profit attributable to the ordinary equity holders of the Company by the weighted average number of ordinary shares outstanding during the year.

	Group		Company	
	2026	**2025**	**2026**	**2025**
Profit for the year attributed to shareholders	16,486,878	14,588,650	20,091,007	14,782,182
Weighted average number of shares ('000)	7,930,198	7,930,198	7,930,198	7,930,198
Basic earnings per share (kobo per share)	207.90	183.96	253.35	186.40

As at the reporting date, the Company has no dilutive ordinary share (2025: Nil).Consequently, diluted and basic earnings per shares are the same

14 Emoluments of Chairman, Directors and Employees

		Group		Company	
14.1	**Chairman and Directors emoluments**	**2026**	**2025**	**2026**	**2025**
		N'000	**N'000**	**N'000**	**N'000**
	Fees:				
	Chairman	-	-	-	-
	Others directors	17,800	12,000	17,800	12,000
		17,800	12,000	17,800	12,000
	Other Emoluments:				
	Chairman	-	-	-	-
	Other directors	219,732	60,389	117,449	60,389
	Total emoluments	237,532	72,389	135,249	72,389

The Chairman did not receive any remuneration during the year (2025: Nil)

Number of directors (excluding the Chairman) whose emoluments were within certain ranges were:

	Group		Company	
	Number	**Number**	**Number**	**Number**
below N10,000,000	9	7	9	7
N10,000,001 and above	1	1	1	1
	10	**8**	**10**	**8**
In thousands of Naira				
Highest paid Director received	10,000	10,000	10,000	10,000

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Emoluments of Chairman, Directors and Employees continued

No pension was paid to the existing and past directors

No compensation for loss of office was paid to any of the directors.

14.2 Employees

As at 31 March, 2026 the Group had 457 permanent employees (2025: 417).

Employee benefits expense is made up of the following for all employees, excluding executive directors:

	Group		Company	
Group and Company	**2026**	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Basic and other payroll cost	5,320,495	2,674,827	4,479,342	2,674,827
Directors' fees and other emolument	237,532	72,389	135,249	72,389
Pension contribution- employer	370,615	193,615	316,786	193,615
Long service awards	223,304	53,816	59,436	53,816
Bonus	24,236	47,980	24,236	47,980
Medical aid - company contributions	39,073	159,158	32,205	159,158
Staff uniform	22,343	87,349	22,343	87,349
Furniture allowance	-	135,775	-	135,775
Leave allowance	66,770	86,344	47,522	86,344
Other short term benefit *	717,950	752,905	576,764	752,905
	7,022,318	4,264,156	5,693,883	4,264,156

* Other short term benefit includes training and development expenses, overseas travelling expenses, end of year party expenses

Total employees costs charged as follows:

Cost of sales	Note 7	5,720,640	3,601,403	4,619,272	3,601,403
Selling and distribution expenses	Note 9.1	143,151	156,137	130,394	156,137
Administrative expenses	Note 9.2	791,355	434,227	820,264	434,227
Directors' fees and other emolument	Note 9.2	237,532	72,389	135,249	72,389
		6,892,678	4,264,156	5,705,179	4,264,156

Average number of persons employed during the year:

	Group		Company	
	2026	**2025**	**2026**	**2025**
Group and Company	**Number**	**Number**	**Number**	**Number**
Administration	100	83	66	83
Factory	352	329	254	329
Management	5	5	2	5
	457	417	322	417

The table shows the number of employees (excluding directors) whose earnings during the year fell within the ranges shown below:

Group and Company	**Number**	**Number**	**Number**	**Number**
Below 1,000,000	1	-	1	-
1,000,001 - 2,000,000	1	9	1	9
2,000,001 - 3,000,000	93	28	42	28
3,000,001 - 4,000,000	197	231	167	231
4,000,001 - 5,000,000	58	56	41	56
5,000,001 - 6,000,000	29	15	15	15
6,000,001 and above	78	78	55	78
	457	417	322	417

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

			Group		Company	
15	**Depreciation, amortisation and impairment loss**		**2026**	**2025**	**2026**	**2025**
			N'000	**N'000**	**N'000**	**N'000**
	Depreciation on property, plant and equipment		5,110,510	6,103,262	3,734,173	6,103,262
	Impairment loss on property, plant and equipment		-	3,263,590	-	3,263,590
	Depreciation on rights of use assets		25,657	29,792	25,657	29,792
	Amortisation of intangible assets		21,914	53,699	21,914	53,699
			5,158,081	**9,450,343**	**3,781,744**	**9,450,343**
			2026	**2025**	**2026**	**2025**
			N'000	**N'000**	**N'000**	**N'000**
	Cost of Sales	Note 7	4,912,253	5,866,159	3,549,127	5,866,159
	Selling and distribution expenses	Note 9.1	13,987	46,014	13,987	46,014
	Administrative expenses	Note 9.2	231,842	3,538,170	218,630	3,538,170
			5,158,082	**9,450,343**	**3,781,744**	**9,450,343**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

16 Property, Plant and Equipment

Group

Cost/revaluation	Land N'000	Buildings N'000	Plant and Machinery N'000	Office Furniture& Equipment N'000	Motor Vehicles N'000	Capital WIP N'000	Total N'000
At April 1, 2024	9,857,600	30,096,121	77,495,509	1,009,710	2,399,140	-	120,858,080
Additions	-	633,495	1,726,732	100,022	-	55,399	2,515,648
Disposals and scrapings	(1,357,600)	(3,327,945)	(1,188,674)	(21,823)	-	-	(5,896,042)
At March 31, 2025	**8,500,000**	**27,401,671**	**78,033,567**	**1,087,909**	**2,399,140**	**55,399**	**117,477,686**
At April 1, 2025	8,500,000	27,401,671	78,033,567	1,087,909	2,399,140	55,399	117,477,686
Additions	-	274,277	-	31,654	-	33,268,115	33,574,046
Disposals and scrapings	-	-	-	-	-	-	-
Reclassification**			15,675	(15,675)			
At March 31, 2026	**8,500,000**	**27,675,948**	**78,049,242**	**1,103,888**	**2,399,140**	**33,323,514**	**151,051,731**
Depreciation and impairment:							
At April 1, 2024	-	7,099,322	30,140,711	756,127	1,845,404	-	39,841,564
Charged for the year	-	681,273	5,099,540	123,331	199,119	-	6,103,262
Impairment loss*	-	-	3,178,360	85,230	-	-	3,263,590
Disposals and scrapings	-	(1,703,922)	(811,910)	(18,862)	-	-	(2,534,693)
At March 31, 2025	**-**	**6,076,673**	**37,606,701**	**945,826**	**2,044,523**	**-**	**46,673,723**
At April 1, 2025	-	6,076,673	37,606,701	945,826	2,044,523	-	46,673,723
Charged for the year	-	562,778	4,422,368	44,173	81,190	-	5,110,510
Reclassification**	-	-	15,338	(15,338)	-	-	-
At March 31, 2026	**-**	**6,639,451**	**42,044,407**	**974,661**	**2,125,713**	**-**	**51,784,233**
Carrying Amount							
At March 31, 2025	8,500,000	21,324,998	40,426,866	142,083	354,617	55,399	70,803,963
At March 31, 2026	8,500,000	21,036,496	36,004,834	129,227	273,427	33,323,514	99,267,498

Property, Plant and equipment was revalued on the 12 May 2022 by Umoru Yakub (FRC/2014/NIESV/00000008842) of Jide Taiwo & Co (FRC/2012/00000000254) to determine the fair value of the assets.The valuation basis used was Market basis .Market basis refers to the estimated amount for which an asset or liability should exchange on the valuation date between a willing buyer and sellers in arm's length transactions.

** Reclassification relates to an asset that was incorrectly mapped under office equipment instead of being classified as plant and machinery.

Below would have been the Carrying amount if the cost model had been adopted:

31-Mar-26	Land	Buildings	Plant and Machinery	Office Furniture& Equipment	Motor Vehicles	Total
Cost	6,953,132	19,010,084	71,151,578	921,364	2,308,484	100,344,642
Accumulated depreciation and impairment	-	(9,597,899)	(40,974,183)	(872,596)	(2,261,772)	(53,706,450)
Disposal	-	-	-	-	-	-
At March 31, 2026	6,953,132	9,412,185	30,177,395	48,768	46,712	46,638,192

31-Mar-25	Land	Buildings	Plant and Machinery	Office Furniture& Equipment	Motor Vehicles	Total
Cost	8,310,732	18,735,807	71,151,578	889,710	2,308,484	101,396,311
Accumulated depreciation and impairment	-	(8,916,626)	(35,874,644)	(872,596)	(2,062,654)	(47,726,520)
Disposal	(1,357,600)	(1,624,023)	(376,764)	(2,962)	-	(3,361,348)
At March 31, 2025	6,953,132	8,195,157	34,900,170	14,152	245,830	50,308,442

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

16 Property, Plant and Equipment - Continued

Pledged as security

As at 31 March 2026, no specific property was pledged as security for loan (2025: Nil). There are negative pledges over the Company's Property, plant and equipment and floating assets which have been given in relation to the Company's borrowings.

Capital commitments

At 31 March 2026, the Company had no contractual commitments for the acquisition of property, plant and equipment (2025: Nil).

Capital work in progress

Capital work in progress comprises buildings, plant and machinery, and furniture under construction as at the year end.

During the year, borrowing cost amounting to N713 million was capitalised to capital work in progress. The capitalisation rate of 19% used to determine the amount of borrowing costs to be capitalised is the weighted average interest rate applicable to Honeywell Flour Mills Plc general borrowings during the year (2025: Nil).

Capital work in progress comprises:	2026 N'000	2025 N'000
Buildings	11,612,689	55,399
Plant and machinery	3,247,516	-
Furniture	18,463,309	-
	33,323,514	**55,399**

Company

Cost/revaluation	Land N'000	Buildings N'000	Plant and Machinery N'000	Office Furniture& Equipment N'000	Motor Vehicles N'000	Capital WIP N'000	Total N'000
At April 1, 2024	9,857,600	30,096,121	77,495,509	1,009,710	2,399,140	-	120,858,080
Additions	-	633,495	1,726,732	100,022	-	55,399	2,515,648
Disposals and scrapings	(1,357,600)	(3,327,945)	(1,188,674)	(21,823)	-	-	(5,896,042)
Transfer	-	-	-	-	-	-	-
At March 31, 2025	**8,500,000**	**27,401,671**	**78,033,567**	**1,087,909**	**2,399,140**	**55,399**	**117,477,686**
At April 1, 2025	8,500,000	27,401,671	78,033,567	1,087,909	2,399,140	55,399	117,477,686
Additions	-	107,500	-	10,412	-	6,694,170	6,812,082
Transfer to Honeywell Flour Mills Shagamu Plc (Note 37)	(8,500,000)	(11,233,056)	(40,021,098)	(189,391)	(216,664)	(5,587,564)	(65,747,772)
Reclassification*	-	-	15,675	(15,675)	-	-	-
At March 31, 2026	**-**	**16,276,116**	**38,028,144**	**893,256**	**2,182,476**	**1,162,006**	**58,541,998**
Depreciation and impairment:							
At April 1, 2024	-	7,099,322	30,140,711	756,127	1,845,404	-	39,841,564
Charged for the year	-	681,273	5,099,540	123,331	199,119	-	6,103,262
Impairment loss*	-	-	3,178,360	85,230	-	-	3,263,590
Disposals and scrapings	-	(1,703,922)	(811,910)	(18,862)	-	-	(2,534,693)
At March 31, 2025	**-**	**6,076,673**	**37,606,701**	**945,826**	**2,044,523**	**-**	**46,673,723**
At April 1, 2025	-	6,076,673	37,606,701	945,826	2,044,523	-	46,673,723
Charged for the year	-	438,815	3,176,779	37,388	81,190	-	3,734,173
Reclassification*	-	-	15,338	(15,338)	-	-	-
Transfer to Honeywell Flour Mills Shagamu Plc (Note 37)	-	(1,835,329)	(13,596,879)	(146,752)	(216,555)	-	(15,795,515)
At March 31, 2026	**-**	**4,680,159**	**27,201,939**	**821,124**	**1,909,158**	**-**	**34,612,379**
Carrying Amount							
At March 31, 2025	8,500,000	21,324,998	40,426,866	142,083	354,617	55,399	70,803,963
At March 31, 2026	-	11,595,958	10,826,205	72,132	273,318	1,162,006	23,929,619

Property, Plant and equipment was revalued on the 12 May 2022 by Umoru Yakub (FRC/2014/NIESV/00000008842) of Jide Taiwo & Co (FRC/2012/00000000254) to determine the fair value of the assets.The valuation basis used was Market basis .Market basis refers to the estimated amount for which an asset or liability should exchange on the valuation date between a willing buyer and sellers in arm's length transactions.

* Reclassification relates to an asset that was incorrectly mapped under office equipment instead of being classified as plant and machinery.

* The company transfer somes assets to its subsidiary to Honeywell Flour Mills Shagamu. See note 37.

Below would have been the Carrying amount if the cost model had been adopted:

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

16 Property, Plant and Equipment - Continued

31-Mar-26	**Land**	**Buildings**	**Plant and Machinery**	**Office Furniture& Equipment**	**Motor Vehicles**	**Capital WIP**	**Total**
Cost	6,953,132	9,445,580	31,130,480	857,484	2,091,820	1,106,606	51,585,102
Accumulated depreciation and impairment	-	(7,762,570)	(27,377,304)	(814,975)	(2,045,218)	-	(38,000,067)
Disposal	(6,953,132)	-	-	-	-	-	(6,953,132)
At March 31, 2026	-	1,683,010	3,753,176	42,509	46,602	1,106,606	6,631,903

31-Mar-25	**Land**	**Buildings**	**Plant and Machinery**	**Office Furniture& Equipment**	**Motor Vehicles**	**Capital WIP**	**Total**
Cost	8,310,732	18,735,807	71,151,578	889,710	2,308,484	-	101,396,311
Accumulated depreciation and impairment	-	(8,916,626)	(35,874,644)	(872,596)	(2,062,654)	-	(47,726,520)
Disposal	(1,357,600)	(1,624,023)	(376,764)	(2,962)	-	-	(3,361,348)
At March 31, 2025	6,953,132	8,195,157	34,900,170	14,152	245,830	-	50,308,442

Pledged as security

As at 31 March 2026, no specific property was pledged as security for loan (2025: Nil). There are negative pledges over the Company's Property, plant and equipment and floating assets which have been given in relation to the Company's borrowings.

Capital commitments

At 31 March 2026, the Company had no contractual commitments for the acquisition of property, plant and equipment (2025: Nil).

Capital work in progress

Capital work in progress comprises buildings and plant and machinery under construction as at the year end.

During the year, borrowing cost amounting to N713 million was capitalised to capital work in progress. The capitalisation rate of 19% used to determine the amount of borrowing costs to be capitalised is the weighted average interest rate applicable to Honeywell Flour Mills Plc general borrowings during the year (2025: Nil).

Capital work in progress comprises:	**2026**	**2025**
	N'000	**N'000**
Buildings	905,751	55,399
Plant and machinery	256,255	-
	1,162,006	**55,399**

16 Disposal of Property, plant and equipment

In 2026 the Company did not disposed off any of its properties, plants and equipment (2025: N3.4 million) for a cash consideration of Nil (2025: N3.55 billion). The net gain on the disposal is recognised as part of other income in the statement of profit or loss.

17 Intangible assets

Intangible assets relates to computer software and declaration license.

Group

	Computer Software	**Declaration License**	**Total**	**Computer Software**
	2026			**2025**
Cost	**N'000**	**N'000**	**N'000**	**N'000**
Balance as at 1 April	296,319	-	296,319	376,141
Additions**	-	406,371	406,371	-
Write-off*	-	-	-	(79,822)
Balance as at 31 March	**296,319**	**406,371**	**702,690**	**296,319**
Amortization				
Balance as at 1 April	257,862	-	257,862	283,979
Charge for the year	21,914	-	21,914	53,699
Write-off*	-	-	-	(79,816)
Balance as at 31 March	279,776	-	**279,776**	257,862
Carrying Amount				
At March 31	**16,544**	**406,371**	**422,914**	**38,457**

* The write-off relates to expired software licences that were not renewed by the Company as they are no longer needed for its operations.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

17 Intangible assets - Continued

** The addition to intangible assets relates to declaration license, which is a one-time payment made to the Nigeria Export Processing Zones Authority upon commencement of operations within the Free Trade Zone. This payment grants Honeywell Flour Mills Sagamu FZE indefinite rights to operate and access the regulatory and economic benefits associated with Free Trade Zone status.

Company	**Computer Software**	
	2026	**2025**
Cost	**N'000**	**N'000**
Balance as at 1 April	296,319	376,141
Write-off*	-	(79,822)
Balance as at 31 March	**296,319**	**296,319**
Amortization		
Balance as at 1 April	257,862	283,979
Charge for the year	21,914	53,699
Write-off*	-	(79,816)
Balance as at 31 March	**279,776**	257,862
Carrying Amount		
At March 31	**16,544**	**38,457**

* The write-off relates to expired software licences that were not renewed by the Company as they are no longer needed for its operations.

Pledged as security

As at 31 March 2026, no specific intangible asset was pledged as security for loan (2025: Nil).

Capital commitments

At 31 March 2026, the Company had no contractual commitments for the acquisition of intangible assets (2025: Nil).

18 Rights of use -asset

Group	**NPA Facilities**	**Onitsha Warehouse**	**Total**
As at 1 April 2024	845,347	27,852	873,199
As at 31 March 2025	**845,347**	**27,852**	**873,199**
As at 1 April 2025	845,347	27,852	873,199
As at 31 March 2026	**845,347**	**27,852**	**873,199**
Depreciation			
As at 1 April 2024	127,046	23,717	150,763
Charge for the year	25,657	4,135	29,792
As at 31 March 2025	**152,703**	**27,852**	**180,555**
As at 1 April 2025	152,703	27,852	180,555
Charge for the year	25,657	-	25,657
As at 31 March 2026	**178,360**	**27,852**	**206,212**
Carrying Amount			
31 March 2026	666,987	-	666,987
31 March 2025	692,644	-	692,644

Company	**NPA Facilities**	**Onitsha Warehouse**	**Total**
Cost :	**N'000**	**N'000**	**N'000**
As at 1 April 2024	845,347	27,852	873,199
As at 31 March 2025	**845,347**	**27,852**	**873,199**
As at 1 April 2025	845,347	27,852	873,199
As at 31 March 2026	**845,347**	**27,852**	**873,199**
Depreciation			
As at 1 April 2024	127,046	23,717	150,763
Charge for the year	25,657	4,135	29,792
As at 31 March 2025	**152,703**	**27,852**	**180,555**
As at 1 April 2025	152,703	27,852	180,555
Charge for the year	25,657	-	25,657
As at 31 March 2026	**178,360**	**27,852**	**206,212**
Carrying Amount			
31 March 2026	666,987	-	666,987
31 March 2025	692,644	-	692,644

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

19 Long term loans receivables

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Golden Penny Foods Limited	37,788,336	3,260,211	37,788,336	3,260,211
Premier Feed Mills Co.Ltd	1,806,950	-	1,806,950	-
Premium Edible Oil Products Ltd	2,186,860	-	2,186,860	-
Honeywell Management Company Sagamu FZE	-	-	103,930	-
Northern Nigeria Flour Mills Plc	431,457	-	431,457	-
Impairment of long term receivables	(1,657,776)	(108,866)	(1,657,776)	(108,866)
	40,555,827	**3,151,345**	**40,659,757**	**3,151,345**
Split between non-current and current portions:				
Non-current	-	3,151,345	-	3,151,345
Current	40,555,827	-	40,659,757	-
	40,555,827	**3,151,345**	**40,659,757**	**3,151,345**

Credit quality on long term receivables

The Company granted intercompany loans with carrying amounts of N41 billion as at 31 March 2026 (2025: N3.2 billion). While there is a risk of shortfall in repayment of these receivables, adequate agreements are in place. The Company also monitors the business activities of the entities closely on a monthly basis, and interest is charged at the weighted average cost of group borrowing facilities.

19.1 Movement in long/short term receivables

	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Opening balance	3,260,211	-	3,260,211	-
Loan granted	152,972,006	297,439,684	152,972,006	297,439,684
Accrued interest income during the year	4,802,737	2,697,681	4,802,737	2,697,681
Repayment during the year				
Principal received	(64,035,022)	(11,618,000)	(64,035,022)	(11,618,000)
Conversion of intercompany payables to offset loan	(54,786,329)	(285,259,154)	(54,786,329)	(285,259,154)
	42,213,603	3,260,211	42,213,603	3,260,211
Loss allowance	(1,657,776)	(108,866)	(1,657,776)	(108,866)
	40,555,827	**3,151,345**	**40,659,757**	**3,151,345**

19.2 Reconciliation of changes in long/short term receivables impairment loss included in statement of cashflow:

	2,026	**2,025**	**2,026**	**2,025**
	N'000	**N'000**	**N'000**	**N'000**
Balance as at 1 April	108,866	-	108,866	-
Impairment charge on long term receivables	1,548,910	108,866	1,548,910	108,866
Balance as at 31 March	**1,657,776**	**108,866**	**1,657,776**	**108,866**

20 Investment in subsidiaries

(a) Investment in subsidiaries are stated at cost and analysed as follows:

	Group		Company	
	2026	**2025**	**2026**	**2025**
Unquoted	**N'000**	**N'000**	**N'000**	**N'000**
Honeywell Flour Mills Tin Can FZE	-	-	75,000	75,000
Honeywell Flour Mills Sagamu FZE	-	-	75,000	75,000
Honeywell Management Company Tin Can FZE	-	-	75,000	75,000
Honeywell Management Company Sagamu FZE	-	-	75,000	75,000
	-	**-**	**300,000**	**300,000**

(b)

Shareholding in subsidiaries	**Ordinary shares**	**2026 (%)**	**Principal activities**
Honeywell Flour Mills Tin Can FZE	75,000,000 ordinary shares of N1 per shares	100	Flour milling
Honeywell Flour Mills Sagamu FZE	75,000,000 ordinary shares of N1 per shares	100	Pasta production
Honeywell Management Company Tin Can FZE	75,000,000 ordinary shares of N1 per shares	100	FZE Management
Honeywell Management Company Sagamu FZE	75,000,000 ordinary shares of N1 per shares	100	FZE Management

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

	Group		Company	
	2026	**2025**	**2026**	**2025**
21 Inventories	**N'000**	**N'000**	**N'000**	**N'000**
Raw and packaging materials	14,193,058	19,549,658	13,587,845	19,549,658
Working in progress	334,910	1,653,737	334,910	1,653,737
Finished goods	7,505,597	2,859,752	4,538,268	2,859,752
Consumables and Maintenance spares	10,991,517	6,392,946	5,630,766	6,392,946
Goods in transit	79,129	19,275,467	-	19,275,467
	33,104,211	49,731,559	24,091,789	49,731,559
Inventory write-downs *	(1,647,223)	(1,606,966)	(1,606,966)	(1,606,966)
	31,456,988	**48,124,593**	**22,484,823**	**48,124,593**

	Group		Company	
	2,026	**2,025**	**2,026**	**2,025**
	N'000	**N'000**	**N'000**	**N'000**
Opening balance	(1,606,966)	(546,594)	(1,606,966)	(546,594)
Inventories provision	(40,257)	(1,060,372)	-	(1,060,372)
Closing balance	**(1,647,223)**	**(1,606,966)**	**(1,606,966)**	**(1,606,966)**

* The amount of write down of inventories recognised as an expense in cost of sale in the Group amounted to N40.26 million (2025: N1.06 billion), while in the company it was nil (2025: N1.06 billion)

* Inventories of N291 billion (2025: N307 billion) is recognised as expense and included in cost of sales in the Group, whilethe company was 292 billion (2025: 307 billion)

21.1 Reconciliation of changes in inventories included in statement of cashflow:

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Opening balance	48,124,593	52,497,009	48,124,593	52,497,009
Closing balance	(31,456,988)	(48,124,593)	(22,484,823)	(48,124,593)
	16,667,605	4,372,417	25,639,770	4,372,417
Transfer of inventory to Honeywell Flour Mills Sagamu FZE	-	-	(6,818,601)	-
	16,667,605	**4,372,417**	**18,821,170**	**4,372,417**

22 Trade and other receivables	Group		Company	
	2026	**2025**	**2026**	**2025**
Financial instrument:	**N'000**	**N'000**	**N'000**	**N'000**
Trade receivables	5,137,100	4,874,380	5,137,100	4,874,380
Loss allowance on trade receivables	(941,121)	(962,221)	(941,121)	(962,221)
Trade receivables at amortised cost	4,195,979	3,912,159	4,195,979	3,912,159
Trade receivables – related parties	25,236,543	25,168,471	73,995,860	25,354,477
Loss allowance on related parties receivables	(1,946,913)	(1,573,454)	(1,946,913)	(1,573,454)
Other receivables	1,306,137	54,405	1,334,847	54,405
Total trade and other receivables	**28,791,747**	**27,561,580**	**77,579,773**	**27,747,588**

Split between non-current and current portions

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Current assets	28,791,747	27,561,580	77,579,773	27,747,588
	28,791,747	**27,561,580**	**77,579,773**	**27,747,588**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

22 Trade and other receivables - Continued

22.1 Reconciliation of changes in trade and other receivables included in statement of cashflow:

	2026	2025	2026	2025
	N'000	N'000	N'000	N'000
Balance as at 31 March	(28,791,747)	(27,561,580)	(77,579,773)	(27,747,588)
Balance as at 1 April	27,561,580	2,400,685	27,747,588	2,400,685
Change in trade and other receivables	(1,230,167)	(25,160,896)	(49,832,185)	(25,346,903)
Less impairment charge on trade and other receivables during the year	(352,358)	(2,111,782)	(352,358)	(2,111,782)
Foreign exchange loss recognised during the year	(557,720)	-	460,013	-
Transfer of long service award	19,276	(8,894)	(11,576)	(8,894)
Transfer of inventory to Honeywell Flour Mills Sagamu FZE	-	-	6,818,601	-
Transfer of PPE to Honeywell Flour Mills Sagamu FZE	-	-	49,952,257	-
	(2,120,969)	**(27,281,572)**	**7,034,752**	**(27,467,579)**

22.2 Financial instruments and non-financial instruments components of trade and other receivables

	2026	2025	2026	2025
	N'000	N'000	N'000	N'000
At amortised cost	28,791,747	27,561,580	77,579,773	27,747,588

22.3 Exposure to Credit Risk

Trade receivables inherently exposes the company to credit risk, being the risk that the company will incur financial loss if customers fail to make payments as they fall due.

In order to mitigate the risk of financial loss from defaults, the company only deals with reputable customers with consistent payment histories. Sufficient collateral or guarantees are also obtained when appropriate. Each customer is analysed individually for credit worthiness before terms and conditions are offered. Statistical credit scoring models are used to analyse customers. These models make use of information submitted by the customers as well as external bureu data where available). Customer credit limits are in place and are reviewed and approved by credit management committees. The exposure to credit risk and the creditworthiness of customers is continuously monitored.

Trade receivables arise from both wholesale and retail sales. The customer base forretail trade is large and widespread, with a result that there is no specific significant concentration of credit risk from these trade receivables. Wholesale trade, while also large and widespread is geographically spread within the country. Management therefore assesses and monitors credit risk internally along these risk concentrations (Retail, wholesale country wide).

A loss allowance is recognised for all trade receivables, in accordance with IFRS 9 Financial Instruments, and is monitored at the end of each reporting period. In addition to the loss allowance, trade receivables are written off when there is no reasonable expectation of recovery, for example, when a debtor has been placed under liquidation.

The company measures the loss allowance for trade receivables by applying the simplified approach which is prescribed by IFRS 9. In accordance with this approach, the loss allowance and trade receivables determined as the lifetime expected credit losses on trade receivables. These life times expected credit losses are estimated using a provision matrix, which is presented below.The provisoin matrix has been developed by making use of past default experience of debtors but also incorporates forward looking information and general economic conditions of the industry as at the reporting date. The Company applies the following macro economics variable: inflation and foreign exchange forecast in deriving a scalar factor as a basis of computing the Company's expected credit loss in view of the economic conditions over the expected lives of the receivables.

The estimation techniques explained have been applied for the first time in the current financial period, as a result of the adoption of IFRS 9. Trade receivables were previously impaired only when there was objective evidence that the asset was impaired. The impairment was calculated as the difference between the carrying amount and the present value of the expected future cash flows.

The company's historical credit loss experience does not show significantly different loss patterns for different customer segments. The provision for credit losses is therefore based on past due status without disaggregating into further risk profiles. The loss allowance provision is determined as follows:

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

22 Trade and other receivables - Continued

22.4 Trade receivables - third parties

Group	**2026**			**2025**		
	Weighted average expected credit loss rate	**Gross carrying Amount at default N'000**	**Loss allowance (lifetime ECL) N'000**	**Weighted average expected credit loss rate**	**Gross carrying Amount at default N'000**	**Loss allowance (lifetime ECL) N'000**
Expected Credit Loss Rate:						
Less than 30 days	3%	3,384,172	(111,203)	5%	3,020,985	(143,596)
31-90 days past due	29%	1,182,758	(342,633)	30%	1,305,029	(394,026)
91-180 days past due	67%	165,328	(110,539)	69%	393,809	(273,012)
181-365 days past due	91%	310,500	(282,404)	92%	37,954	(34,985)
More than 365 days past due	100%	94,342	(94,342)	100%	116,602	(116,602)
		5,137,100	(941,121)		4,874,380	(962,221)

Company	**2026**			**2025**		
	Weighted average expected credit loss rate	**Gross carrying Amount at default N'000**	**Loss allowance (lifetime ECL) N'000**	**Weighted average expected credit loss rate**	**Gross carrying Amount at default N'000**	**Loss allowance (lifetime ECL) N'000**
Expected Credit Loss Rate:						
Less than 30 days	3%	3,384,172	(111,203)	5%	3,020,985	(143,596)
31-90 days past due	29%	1,182,758	(342,633)	30%	1,305,029	(394,026)
91-180 days past due	67%	165,328	(110,539)	69%	393,809	(273,012)
181-365 days past due	91%	310,500	(282,404)	92%	37,954	(34,985)
More than 365 days past due	100%	94,342	(94,342)	100%	116,602	(116,602)
		5,137,100	(941,121)		4,874,380	(962,221)

22.4 Reconciliation of loss allowances

The following table shows the movement in the loss allowance (lifetime expected credit losses) for Trade receivables:

Trade receivables - third parties	**2026 N’000**	**2025 N’000**	**2026 N’000**	**2025 N’000**
Opening balance	(962,221)	(675,105)	(962,221)	(675,105)
Allowance on trade receivables	21,100	(538,328)	21,100	(538,328)
Bad debt written-off	-	251,211	-	251,211
	(941,121)	(962,221)	(941,121)	(962,221)

Trade receivables - related parties	**2026 N’000**	**2025 N’000**	**2026 N’000**	**2025 N’000**
Opening balance	(1,573,454)	-	(1,573,454)	-
Allowance on related parties receivables	(373,459)	(1,573,454)	(373,459)	(1,573,454)
	(1,946,913)	**(1,573,454)**	**(1,946,913)**	**(1,573,454)**

Loss allowances are analysed as follows:		**2026 N’000**	**2025 N’000**	**2026 N’000**	**2025 N’000**
Trade receivables - third parties	Note 22.4	941,121	962,221	941,121	962,221
Trade receivables - related parties	Note 22.5	1,946,913	1,573,454	1,946,913	1,573,454
		2,888,034	2,535,675	2,888,034	2,535,675

The increase in the loss allowance during the year was largely as a result of the increase in receivables and by implication the gross amount of trade receivables increased.

The expected credit risk for the trade receivables by type of counter party is as follows:

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

22 Trade and other receivables - Continued

	Group		Company	
	2026	**2025**	**2026**	**2025**
Trade receivables by counter-party	**N'000**	**N'000**	**N'000**	**N'000**
Wholesale customer	5,006,492	3,800,947	5,006,492	3,800,947
Retail customers	130,608	1,073,433	130,608	1,073,433
	5,137,100	**4,874,380**	**5,137,100**	**4,874,380**

During the year, the total amount of trade and other receivables written off is N0 billion (2025: N251 million).

22.5 Trade receivables - related parties

Group

	Weighted average expected credit loss	2026 Gross carrying Amount at default	2026 Loss allowance (lifetime ECL)	2025 Gross carrying Amount at default	2025 Loss allowance (lifetime ECL)
		N'000	N'000	N'000	N'000
Expected Credit Loss Rate:					
Less than 30 days	0%	23,289,630	-	18,785,844	-
31-90 days past due	0%	-	-	4,700,905	-
91-180 days past due	0%	-	-	108,268	-
181-365 days past due	100%	1,946,913	(1,946,913)	1,573,454	(1,573,454)
More than 365 days past due	100%	-	-	-	-
		25,236,543	**(1,946,913)**	**25,168,471**	**(1,573,454)**

Company

	Weighted average expected credit loss	2026 Gross carrying Amount at default	2026 Loss allowance (lifetime ECL)	2025 Gross carrying Amount at default	2025 Loss allowance (lifetime ECL)
		N'000	N'000	N'000	N'000
Expected Credit Loss Rate:					
Less than 30 days	0%	72,048,947	-	18,971,850	-
31-90 days past due	0%	-	-	4,700,905	-
91-180 days past due	0%	-	-	108,268	-
181-365 days past due	100%	1,946,913	(1,946,913)	1,573,454	(1,573,454)
More than 365 days past due	100%	-	-	-	-
		73,995,860	**(1,946,913)**	**25,354,477**	**(1,573,454)**

23 Prepayments

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Deposit for Letter of Credit *	4,149,147	4,169,332	86,306	4,169,332
Prepaid Import Duty	-	5,045,991	-	5,045,991
Prepaid expenses**	1,328,793	258,333	1,193,193	258,333
Advance Payment to Vendors	-	2,256,502	-	2,256,502
Withholding tax receivables	259,197	78,946	259,197	78,946
	5,737,137	**11,809,104**	**1,538,696**	**11,809,104**

*Deposits for Letter of Credit are naira deposits with bank for foreign currencies required to settle the invoices of foreign vendors.

**Prepaid expenses includes prepaid insurance premium, prepaid advert expenses, prepaid employees benefits and advance payment for short term leases.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

23 Prepayments - Continued

23.1 Reconciliation of changes in prepayments included in statement of cashflow:

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Balance as at 31 March	(5,737,137)	(11,809,104)	(1,538,696)	(11,809,104)
Balance as at 1 April	11,809,104	7,167,088	11,809,104	7,167,088
Change in prepayments	6,071,967	(4,642,015)	10,270,408	(4,642,015)
Withholding tax credit notes utilized during the year (Note 32.3)	(301,010)	(259,850)	(301,010)	(259,850)
	5,770,957	**(4,901,865)**	**9,969,398**	**(4,901,865)**

24 Cash and Cash Equivalents

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Cash and cash equivalent consist of:				
Bank balances	9,810,078	4,898,661	8,329,752	4,898,661
Short-term deposit *	-	365,889	-	365,889
	9,810,078	**5,264,550**	**8,329,752**	**5,264,550**

The expected credit loss for cash and cash equivalent items were computed but the results were immaterial and therefore not recognized

* Short term deposits represent temporary excess of liquidity invested in low-risk short-term bank deposits with a maturity of 1 - 3 months depending on the immediate cash requirements of the Company. Included in the short-term deposits is unclaimed dividend returned by the Company's Registrar in line with the Securities and Exchange Commission directive, which is subject to restrictions until certain conditions are met.

There are no material difference between the fair value and the carrying amount of cash and cash equivalent.

25 Borrowings

	Group		Company	
	2026	**2025**	**2026**	**2025**
Held at amortised cost:	**N'000**	**N'000**	**N'000**	**N'000**
Unsecured				
Intercompany loan*	12,545,115	-	12,545,115	-
Term loan*	19,936,904	26,965,403	19,936,904	26,965,403
	32,482,019	**26,965,403**	**32,482,019**	**26,965,403**
Split between non-current and current portions:				
Non-current liabilities	27,022,821	20,284,280	27,022,821	20,284,280
Current liabilities	5,459,198	6,681,123	5,459,198	6,681,123
	32,482,019	**26,965,403**	**32,482,019**	**26,965,403**

* Intercompany loan relates to the borrowings provided by Bagco Packaging Solutions Limited, Apapa Bulk Terminal Limited, Golden Penny Foods Limited, Golden Sugar Company Limited and FMN Holding Limited (related parties).

**Bank loans are secured by legal mortgage over company's property, plant and equipment with negative pledge

The carrying amounts borrowings are analysed as follows:

	Group		Company	
	Carrying amount	**Carrying amount**	**Carrying amount**	**Carrying amount**
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
CBN Intervention Fund (i)	19,932,253	25,236,109	19,932,253	25,236,109
Fidelity Bank Plc RSSF (ii)	-	338,868	-	338,868
Fidelity Bank Plc RSSF (iv)	4,650	-	4,650	-
Intercompany loan	12,545,115	-	12,545,115	-
Usance - Imort finance facility (v)	-	1,390,426	-	1,390,426
	32,482,019	**26,965,403**	**32,482,019**	**26,965,403**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

25 Borrowings - Continued

25.1 Movement

		2026	2025	2026	2025
		N'000	N'000	N'000	N'000
Balance at at 1 April		26,965,403	33,570,210	26,965,403	33,570,210
Addition during the year		10,129,167	-	10,129,167	-
Accrued interest	Note 12	3,789,424	4,524,848	3,789,424	4,524,848
Net foreign exchange loss	Note 9.3	-	224,822	-	224,822
Interest payment		(1,561,791)	(2,867,313)	(1,561,791)	(2,867,313)
Principal payment		(6,840,184)	(8,487,164)	(6,840,184)	(8,487,164)
Balance as at 31 March		**32,482,019**	**26,965,403**	**32,482,019**	**26,965,403**

25 Borrowings Continued

i. This represents First Bank of Nigeria Limited/Bank of Industry intervention Fund (term loan) of N30 billion. This loan was obtained to ease the post acquisition expansion project and trade transactions. The loan has tenor of seven years with two years moratorium period and interest rate of 5% per annum with effect from August 2022. The facility is inclusive of government grant of N4,319,335,379.90

ii. The Company obtained a loan of N10 billion from Fidelity Bank Plc, under the Central Bank of Nigeria (CBN) Real Sector Support Fund (RSSF) Programme to finance the Sagamu expansion project. The loan was released in two tranches. The first tranche was granted in April, 2017 with original expected payment date of 11th January, 2024 while the second tranche was granted in August, 2017 with expected repayment date of 24th May, 2024. The loans have a tenor of seven (7) years each inclusive of two (2) years moratorium on principal repayment beginning from the date of first disbursement. Interest rate on the loan is priced at 9%. This loan has been fully repaid during the year.

iii. A loan of N5 billion was obtained from Fidelity bank Plc, under the Central Bank of Nigeria (CBN) Real Sector Support Fund (RSSF) Programme to finance the Sagamu expansion project. This is currently being covered in the same offer letter with (ii) above.

iv. There were no usance facility which represents short term import finance facility during the year (2025: N1.4 billion), priced at 13% per annum with a tenor of less than 12 months.

26 Deferred income

	Group		Company	
	2026	2025	2026	2025
This relates to government grant from below-market loans which has been deferred.	N'000	N'000	N'000	N'000
Government grants- current portion	673,632	887,739	673,632	887,739
Government grants- non-current portion	716,913	1,318,933	716,913	1,318,933
	1,390,545	**2,206,672**	**1,390,545**	**2,206,672**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

26 Deferred income - Continued

26.1 Movement

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Balance as at 1 April	2,206,672	3,343,125	2,206,672	3,343,125
Additions	69,888	-	69,888	-
Recognized in profit or loss	(886,015)	(1,136,453)	(886,015)	(1,136,453)
Balance as at 31 March	**1,390,545**	**2,206,672**	**1,390,545**	**2,206,672**

The deferred income relates to government grants arising from the benefit received from below-market-interest rate government assisted loans (BOI, CACS, PAIF and RSSF loans) granted to date. The income is recognised in profit or loss on a systematic basis over the tenure of the loan.

27 Lease Liability

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
As at 1 April	870,875	856,582	870,875	856,582
Interest Expense	115,282	116,018	115,282	116,018
Payment of principal	-	(71,207)	-	(71,207)
Payment of interest	-	(30,517)	-	(30,517)
As at 31 March	**986,157**	**870,875**	**986,157**	**870,875**
Analyzed into:				
Non-current liabilities	223,023	769,151	223,023	769,151
Current liabilities	763,134	101,724	763,134	101,724
	986,157	**870,875**	**986,157**	**870,875**

28 Deferred tax liabilities / assets

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Deferred tax liabilities	2,870,736	7,595,379	(157,615)	7,595,379

Analysis of deferred tax (assets)/liabilities
31 March, 2026
Group

	Opening Balance	**Recognised in profit or loss**	**Recognised in other comprehensive income**	**Closing Balance**
	At Apr-25			**At Mar-26**
Deferred tax liabilities in relation to:	**N'000**	**N'000**	**N'000**	**N'000**
Property, plant and equipment	10,465,892	(743,554)	-	9,722,338
Revaluation loss on PPE	(1,414,165)	-	-	(1,414,165)
Unutilised tax credits	-	(1,054,468)	-	(1,054,468)
Allowance for bad debt	(1,397,530)	(2,806,669)	-	(4,204,199)
Exchange difference	-	(70,266)	-	(70,266)
Lease liability	(297,221)	(49,687)	-	(346,908)
Right of use assets	238,404	-	-	238,404
	7,595,380	**(4,724,644)**	**-**	**2,870,736**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Company

	Opening Balance	Recognised in profit or loss	Recognised in other comprehensive income	Closing Balance
	At Apr-25			At Mar-26
Deferred tax liabilities in relation to:	N'000	N'000	N'000	N'000
Property, plant and equipment	10,465,892	(4,960,777)	-	5,505,115
Revaluation loss on PPE	(1,414,165)	-	-	(1,414,165)
Allowance for bad debt	(1,397,530)	(2,730,947)	-	(4,128,477)
Exchange difference	-	(11,584)	-	(11,584)
Lease liability	(297,221)	(49,687)	-	(346,908)
Right of use assets	238,404	-	-	238,404
	7,595,380	**(7,752,995)**	-	**(157,615)**

31 March, 2025
Group and Company

	Opening Balance	Recognised in profit or loss	Recognised in other comprehensive income	Closing Balance
	At Apr-24			At Mar-25
Deferred tax liabilities in relation to:	N'000	N'000	N'000	N'000
Property, plant and equipment	13,046,641	(2,580,749)	-	10,465,892
Revaluation loss on PPE	(1,414,165)	-	-	(1,414,165)
Unutilised tax credits	(4,365,738)	4,365,738	-	-
Tax losses	(1,565,953)	1,565,953	-	-
Allowance for bad debt	(313,564)	(1,083,966)	-	(1,397,530)
Lease liability	(282,672)	(14,549)	-	(297,221)
Right of use assets	238,404	-	-	238,404
	5,342,953	**2,252,427**	-	**7,595,380**

Movement in Deferred tax liabilities

	Group	Company
	N'000	N'000
Balance as at 1 April 2024	5,342,953	5,342,953
Charge for the year recognised in profit or loss	2,252,427	2,252,427
Balance as at 31 March 2025	**7,595,380**	**7,595,380**
Balance as at 1 April 2025	7,595,380	7,595,380
Credit for the year recognised in profit or loss	(4,724,644)	(7,752,995)
Balance as at 31 March 2026	**2,870,736**	**(157,615)**

29 Trade and other payables

	Group		Company	
	2026	**2025**	**2026**	**2025**
Financial instruments:	**N’000**	**N’000**	**N’000**	**N’000**
Trade payables	6,441,135	23,789,119	2,960,373	23,789,119
Related parties payables	69,694,920	46,396,776	34,049,407	46,696,776
Unclaimed dividend (Note 29.1)	172,775	213,009	172,775	213,009
Accrued expenses	18,460,128	8,279,117	17,419,976	8,271,592
	94,768,958	78,678,020	54,602,531	78,970,495
Non-financial instruments:				
Output Vat payables	3,044,524	78,602	1,350,113	78,602
Payee payables	-	72,282	-	72,282
Witholding Tax Payable -State	171,695	177,455	164,571	177,455
Pension and sundry taxes	-	87	-	87
	97,985,177	79,006,446	56,117,215	79,298,921

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

29 Trade and other payables - Continued

Reconciliation of changes in trade and other payables included in statement of cashflow:

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Balance as at 31 March	97,985,177	79,006,446	56,117,215	79,298,921
Balance as at 1 April	(79,006,446)	(71,546,145)	(79,298,921)	(71,546,145)
Change in trade and other payables	18,978,731	7,460,300	(23,181,706)	7,752,775
Reclassification to government grant	69,888	-	69,888	-
Intercompany payable converted to loan	54,786,329	285,259,154	54,786,329	285,259,154
Less foreign exchange loss recognised during the year	2,067,500	(567,086)	1,454,467	(567,086)
	75,902,448	**292,152,368**	**33,128,978**	**292,444,843**

29.1 The unclaimed dividend represents amount returned by the Company's Registrar in line with the Securities and Exchange Commission directive that all unclaimed dividend in the custody of the Registrars should be returned to the paying Company 12 months after the date of approval of dividend at a general meeting.

29.2 Included in Trade payable - related parties for Company is N300 million which represents the payable for the share capital of the subsidiary entities.

30 Contract Liability

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
	18,168,143	8,791,751	18,168,143	8,791,751
Movement				
Balance as at 1 April 2025	8,791,751	10,509,057	8,791,751	10,509,057
Advance payment made during the year	234,378,477	32,117,198	234,378,477	32,117,198
Amount recognised as revenue during the year	(225,002,085)	(33,834,504)	(225,002,085)	(33,834,504)
Balance as at 31 March 2026	18,168,143	8,791,751	18,168,143	8,791,751

Contract liability represents the advance payments made by customers for goods to be supplied. Revenue is recognised at the point the control of the products are transferred to the customers.

31 Employee's long service award

The Company operates a long service award scheme where employees are rewarded after a specific number of years in service. Employees are entitled to the benefits after being in service for a minimum of 5 years and for every multiple of 5 years employee remain in service.

The most recent actuarial valuations of the present value of the defined benefit obligation were carried out by Takalani Sikhavhakhavha, FRC registration number: FRC/2023/PRO/NAS/004/802144 of Deloitte and Touche FRC/2022/coy/091021. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method.

Carrying value

The amount included in the statement of financial position arising from the Company's obligations in respect of its long service awards is as follows:

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Long service awards	232,634	149,048	187,209	149,048
Movements in the account during the year was as follows:				
At beginning of the year	149,048	145,322	149,048	145,322
Net transfer	19,276	(8,894)	(11,576)	(8,894)
Net expense recognised in profit or loss	223,303	53,816	59,435	53,816
Benefits paid during the year	(158,993)	(41,196)	(9,698)	(41,196)
At the end of the year	**232,634**	**149,048**	**187,209**	**149,048**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

31 Long service award - Continued

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
Net expense recognised in profit or loss				
Current service cost	4,874	6,315	2,948	6,315
Interest cost	32,729	24,252	26,923	24,252
Actuarial losses	185,701	23,248	29,565	23,248
	223,304	**53,816**	**59,436**	**53,816**
Reconciliation of changes in long service awards included in statement of cashflow:				
Closing balance	232,634	149,048	187,209	149,048
Opening balance	(149,048)	(145,322)	(149,048)	(145,322)
	83,586	3,726	38,161	3,726

Key financial assumptions used

The principal assumptions for the purpose of the actuarial valuations were as follows:

	Group		Company	
	Valuation at 2026	**2025**	**Valuation at 2026**	**2025**
Discount rate (per annum)	15.71%	18.36%	15.71%	18.36%
Expected rate(s) of salary increases (per annum)	16.00%	16.00%	16.00%	16.00%
Average rate of inflation (per annum)	18.65%	17.24%	18.65%	17.24%
Benefit inflation rate (per annum)	6.50%	6.50%	6.50%	6.50%
Average duration of the plan (years)	5.27	5.27	5.27	5.27

Demographic assumptions

Mortality and withdrawal from service

The rates of mortality assumed for employees are the rates published in the A67/70 Ultimate Tables, published jointly by the Institute and Faculty of Actuaries in the UK due to unavailability of published reliable demographic data in Nigeria.

Sample age	**Number of deaths in year out of 10,000 lives**	**Withdrawal from Service (Age band)**	**Withdrawal from Service (Rate)**
25	7	</=30	5.0%
30	7	31 - 39	3.0%
35	9	40 - 44	2.0%
40	14	45 - 50	1.5%
45	26	51 - 55	1.1%
		56 - 59	2.5%

Sensitivity analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the long service awards by the amount shown below:

Group		**2026**
		N'000
Base		232,634
Discount rate	+0.5%	226,692
	-0.5%	238,857
Salary increase rate	+0.5%	237,860
	-0.5%	227,616
Benefit escalation rate	+0.5%	239,376
	-0.5%	226,162
Mortality experience	Age rated up by 1 year	232,576
	Age rated down by 1 year	232,483

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

31 Long service award - Continued

		2025
		N'000
Base		149,048
Discount rate	+0.5%	145,580
	-0.5%	152,672
Salary increase rate	+0.5%	151,305
	-0.5%	146,909
Benefit escalation rate	+0.5%	153,066
	-0.5%	145,185
Mortality experience	Age rated up by 1 year	148,889
	Age rated down by 1 year	149,119

Company		**2026**
		N'000
Base		187,209
Discount rate	+0.5%	182,428
	-0.5%	192,217
Salary increase rate	+0.5%	191,415
	-0.5%	183,171
Benefit escalation rate	+0.5%	192,635
	-0.5%	182,001
Mortality experience	Age rated up by 1 year	187,163
	Age rated down by 1 year	187,088

		2025
		N'000
Base		149,048
Discount rate	+0.5%	145,580
	-0.5%	152,672
Salary increase rate	+0.5%	151,305
	-0.5%	146,909
Benefit escalation rate	+0.5%	153,066
	-0.5%	145,185
Mortality experience	Age rated up by 1 year	148,889
	Age rated down by 1 year	149,119

32 Income taxes

32.1 Income tax expense	**Group**		**Company**	
	2026	**2025**	**2026**	**2025**
Current	**N'000**	**N'000**	**N'000**	**N'000**
Corporate Tax	7,972,931	3,384,727	7,972,931	3,384,727
Development levy	1,196,173	-	1,137,026	-
Tertiary Education Tax	-	954,112	-	954,112
Capital Gain Tax	-	18,490	-	18,490
Police Trust Fund	-	1,070	-	1,070
Tax under provision in prior year	964,863	-	964,863	-
	10,133,967	4,358,399	10,074,820	4,358,399
Deferred				
Originating and reversing temporary differences	(4,724,643)	2,252,427	(7,752,995)	2,252,427
	5,409,324	**6,610,826**	**2,321,825**	**6,610,826**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

32 Income taxes - Continued

32.3 Current Tax Payable

	Group		Company	
	2026	**2025**	**2026**	**2025**
	N'000	**N'000**	**N'000**	**N'000**
At 1 April	4,415,499	796,041	4,415,499	796,041
Charges for the year	9,169,104	4,358,399	9,109,957	4,358,399
Tax under provision in prior year	964,864	-	964,863	-
	14,549,467	5,154,440	14,490,319	5,154,440
Payment during the year	(5,586,731)	(479,091)	(5,586,731)	(479,091)
Withholding tax utilized	(301,010)	(259,850)	(301,010)	(259,850)
At 31 March	**8,661,726**	**4,415,499**	**8,602,578**	**4,415,499**

	2026	**2025**	**2026**	**2025**
Cash flow reconciliation of tax paid	**N'000**	**N'000**	**N'000**	**N'000**
Balance at beginning of the year	(4,415,499)	(796,041)	(4,415,499)	(796,041)
Current tax for the year recognised in profit/loss	(10,133,968)	(4,358,399)	(10,074,820)	(4,358,399)
Withholding tax utilized	301,010	259,850	301,010	259,850
Balance at end of the year	8,661,726	4,415,499	8,602,578	4,415,499
	(5,586,731)	(479,091)	(5,586,731)	(479,091)

32.4 Reconciliation of the Tax Expenses - Effective Tax Rate

Group

Reconciliation between accounting profit and tax expense		**2026**	**2025**
		N'000	**N'000**
Profit before tax	A	21,896,202	21,199,476
Tax at the applicable tax rate of 30%		6,568,861	6,359,843
Tax effect of adjustments on taxable income;			
Effect of expenses that are not deductible in determining taxable profit		379,187	33,672
Effect of income that is exempt from taxation		-	(777,076)
Adjustment for Capital Gain tax		-	18,490
Adjustment for Police Trust Fund levy		-	1,070
Effect of concessions (research and development and other allowances)		3,129,800	-
Adjustment for change in tax rate (NTA impact)		(189,724)	-
Effect of tax adjustments (dividend tax, development levy, etc)		1,196,173	-
Impact of Tertiary Education tax (2025: 3%)		-	954,112
Adjustments recognized in the current period in relation to the deferred tax of prior periods		(5,674,972)	20,715
Income tax expense recognized in profit or loss	B	5,409,324	6,610,826
Effective Tax Rate	**C = B/A**	**24.70%**	**31.18%**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

32 Income taxes - Continued
Company

Reconciliation between accounting profit and tax expense		2026	2025
		N'000	**N'000**
Profit before tax	A	22,412,832	21,393,008
Tax at the applicable tax rate of 30%		6,723,850	6,417,903
Tax effect of adjustments on taxable income;			
Effect of expenses that are not deductible in determining taxable profit		194,751	31,415
Effect of income that is exempt from taxation		-	(832,879)
Adjustment for change in tax rate (NTA impact)		(174,812)	-
Effect of previously unrecognized and unused tax losses and deductible temporary differences now recognized as deferred tax assets		51,612	-
Effect of tax adjustments (dividend tax, development levy, etc)		1,137,026	-
Impact of Tertiary Education tax (2025: 3%)		-	954,112
Adjustment for difference in NBV and TWDV for assets transferred to Honeywell FZE		(4,389,027)	-
Adjustment for Capital Gain tax		-	18,490
Adjustment for Police Trust Fund levy		-	1,070
Adjustments recognized in the current period in relation to the deferred tax of prior periods		(1,221,574)	20,715
Income tax expense recognized in profit or loss	B	2,321,825	6,610,826
Effective Tax Rate	**C = B/A**	**10.36%**	**30.90%**

	Group		Company	
33 Share Capital				
	2026	**2025**	**2026**	**2025**
Issued	**N'000**	**N'000**	**N'000**	**N'000**
7,930,197,658 ordinary shares in units of 50k each	3,965,099	3,965,099	3,965,099	3,965,099
33.1 Share premium	6,462,041	6,462,041	6,462,041	6,462,041
33.2 Retained earnings/ (accumulated losses)				
Balance at April 1	7,629,912	(6,958,738)	7,823,444	(6,958,738)
Profit for the year	16,486,878	14,588,650	20,091,007	14,782,182
Balance at March 31	**24,116,790**	**7,629,912**	**27,914,451**	**7,823,444**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

34 Financial Commitments

The Directors are of the opinion that all known liabilities and commitments have been taken into account in the preparation of the financial statements under review. These liabilities are relevant in assessing the Company's state of affairs as at 31 March 2026.

35 Pending Litigation

The Company was not involved in any litigation in the ordinary course of business during the year (2025: N532.3 million).

36 Related Parties

The directors, their close family members and any employee who is able to exert a significant influence on the operating policies of the Company are considered as related parties. Key management personnel are also regarded as related parties. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

Relationships

Ultimate Controlling Party	Golden Penny Foods Ltimited
Parent Company	Ecowise Horizons Investments Limited

Name of related party	**Nature of relationship**
Honeywell Flour Mills Sagamu FZE	Subsidiary
Honeywell Management Company Sagamu FZE	Subsidiary
Honeywell Management Company Tincan FZE	Subsidiary
Bagco Packaging Solutions Limited	Fellow subsidiary
Apapa Bulk Terminal Limited	Fellow subsidiary
Apapa Bulk Terminal Limited FZE	Fellow subsidiary
Golden Sugar Company Limited	Fellow subsidiary
Premier Feed Mills Company Limited	Fellow subsidiary
Nigerian Eagles Flour Mills Limited	Fellow subsidiary
Crestview Towers Limited	Fellow subsidiary
Premium Edible Oil Products Limited	Fellow subsidiary
Best Chickens Limited	Fellow subsidiary
Golden Sugar Company Limited FZE	Fellow subsidiary
Northern Nigeria Flour Mills Plc	Fellow subsidiary
Flour Mills of Nigeria FZE, Apapa	Fellow subsidiary
Flour Mills of Nigeria FZE, Iganmu	Fellow subsidiary
Northern Nigeria Flour Mills Plc	Fellow subsidiary
Nigerian Eagles Flour Mills Limited	Fellow subsidiary
Golden Fertilizer Company Limited	Fellow subsidiary
Flour Mills of Nigeria FZE, Agbara	Fellow subsidiary
FMN Holdings Limited	Fellow subsidiary

Related Parties Transactions

The company enters into transactions with some companies in which the Ex-Chairman, Dr. Oba Otudeko has significant interest (related parties) in the normal course of business and at normal market prices.

The details of transactions and balances outstanding at the end of year are as follows:

The following transactions were carried out with related parties during the year:

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

36 Related Parties - Continued

	Group		Company	
	2026	**2025**	**2026**	**2025**
Purchase of goods and services	**N'000**	**N'000**	**N'000**	**N'000**
Golden Penny Foods Limited	-	75,154,583	-	75,154,583
Flour Mills of Nigeria FZE, Apapa	109,646,526	-	109,646,526	-
Premium Edible Oil Products Limited	204,118	-	204,118	-
Flour Mills of Nigeria FZE, Agbara	148,805	-	148,805	-
Golden Sugar Company Limited FZE	950		950	
Bagco Packaging Solutions Limited	1,185,637	8,560,894	1,185,637	8,560,894
	111,186,036	**83,715,477**	**111,186,036**	**83,715,477**
Sale of goods and services				
Premier Feed Mills Company Limited	-	696,090	-	696,090
Flour Mills of Nigeria FZE, Apapa	6,284,513	-	6,284,513	-
Flour Mills of Nigeria FZE, Iganmu	2,911,601	-	2,911,601	-
Flour Mills of Nigeria FZE, Agbara	3,858,279	-	3,858,279	-
Nigerian Eagles Flour Mills Limited	22,155,156	12,817,331	22,155,156	12,817,331
Golden Penny Foods Limited	25,268,458	43,783,311	15,736,728	43,783,311
Northern Nigeria Flour Mills Plc	436,934	367,920	436,934	367,920
Honeywell Flour Mills Sagamu FZE	-		11,220,220	
	60,914,941	**57,664,652**	**62,603,431**	**57,664,652**
Rent income				
Premier Feed Mills Company Limited	-	1,315,203	-	1,315,203
Rent expense				
Apapa Bulk Terminal Limited	-	6,450	-	6,450
Interest expense				
Golden Penny Foods Limited	277,831	-	277,831	-
Golden Sugar Company Nigeria Limited	183,755	-	183,756	-
Apapa Bulk Terminal Limited	20	-	20	-
Flour Mills of Nigeria FZE, Iganmu	71,371	-	71,371	-
FMN Holdings Limited	721	-	721	-
Northern Nigeria Flour Mills Plc	269	-	269	-
	533,967	**-**	**533,967**	**-**
Interest income				
Nigerian Eagles Flour Mills Limited	116,461	-	116,461	-
Golden Penny Foods Limited	4,395,096	2,697,681	4,395,096	2,697,681
Premier Feed Mills Company Limited	281,317	-	281,317	-
FMN Holdings Limited	9,863	-	9,863	-
	4,802,737	**2,697,681**	**4,802,737**	**2,697,681**

Related party transactions disclosed is inclusive of the relevant Value Added Tax applicable on the transactions.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

36 Related Parties - Continued

Due from related parties

	Nature of Transaction	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Due from related parties					
Golden Sugar Company Nigeria Limited	Sales of goods	19,446	77,404	19,446	77,404
Flour Mills of Nigeria FZE, Agbara	Sales of goods	4,650,468	750,975	4,650,468	750,975
Flour Mills of Nigeria FZE, Iganmu	Sales of goods	2,419,518	117,613	2,419,518	117,613
Flour Mills of Nigeria Mgt Coy FZE, Iganmu	Sales of goods	1,141	-	-	-
Flour Mills of Nigeria Mgt Coy FZE, Agbara	Sales of goods	6,709	-	-	-
Golden Penny Foods Limited	Sales of goods	10,862,044	15,191,183	-	15,191,183
Northern Nigeria Flour Mills Plc	Sales of goods	4,085	-	4,085	-
Apapa Bulk Terminal Limited	Sales of goods	24,926	-	24,926	-
Premium Edible Oil Products Ltd	Sales of goods	65,403	3,232,675	65,403	3,232,675
Premier Feed Mills Ltd	Sales of goods	-	2,913,165	-	2,913,165
Golden Penny Power Limited	Sales of goods	651,729	-	651,729	-
Nigeria Eagle Flour Mills Ltd	Sales of goods	-	2,885,456	-	2,885,456
Bagco Packaging Solutions Limited	Packaging	6,531,074	-	5,282,687	-
Honeywell Flour Mills Tin Can FZE	Pre-operating expenses	-	-	-	46,502
Honeywell Flour Mills Sagamu FZE	Pre-operating expenses	-	-	-	46,502
Honeywell Flour Mills Sagamu FZE	Intercompany transactior	-	-	60,877,598	-
Honeywell Management Company Tin Can FZE	Pre-operating expenses	-	-	-	46,502
Honeywell Management Company Sagamu FZE	Pre-operating expenses	-	-	-	46,502
		25,236,543	**25,168,471**	**73,995,860**	**25,354,477**

Due to related parties

	Nature of Transaction	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Due to related parties					
Flour Mills of Nigeria Management Company Apapa	Purchase of goods	-	32,833,735	-	32,833,735
Flour Mills of Nigeria FZE, Apapa	Purchase of goods	61,521,605	9,028,215	29,766,760	9,028,215
Flour Mills of Nigeria FZE, Iganmu	Purchase of goods	10,013	-	-	-
Flour Mills of Nigeria FZE, Agbara	Purchase of goods	1,838,032	-	-	-
Apapa Bulk Terminal Limited	Purchase of goods	-	5,441	-	5,441
Golden Sugar Company Nigeria Limited	Purchase of goods	1,000,000	29,931	1,000,000	29,931
Premier Feed Mills Company Limited	Purchase of goods	1,000,000	-	1,000,000	-
Golden Fertilizer Company Limited	Purchase of goods	1,000,239	-	1,000,239	-
FMN Holdings Limited	Purchase of goods	147,112	-	147,112	-
Northern Nigeria Flour Mills	Purchase of goods	-	42,604	-	42,604
Bagco Packaging Solutions Limited	Purchase of goods	2,383,270	3,550,984	1,135,296	3,550,984
Golden Penny Foods Limited	Purchase of goods	794,649	905,867	-	905,867
Honeywell Flour Mills Tin Can FZE	Pre-operating expenses	-	-	-	75,000
Honeywell Flour Mills Sagamu FZE	Pre-operating expenses	-	-	-	75,000
Honeywell Management Company Tin Can FZE	Pre-operating expenses	-	-	-	75,000
Honeywell Management Company Sagamu FZE	Pre-operating expenses	-	-	-	75,000
		69,694,920	**46,396,776**	**34,049,407**	**46,696,776**

36 Related Parties - Continued

(b) Transactions with Key Management Personnel

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any director of the Company.

Key management personnel compensation comprises of the following:

	Group		Company	
	2026 N'000	2025 N'000	2026 N'000	2025 N'000
Compensation of key management personnel				
Short term benefits	220,555	64,423	135,249	64,423
Post-employment benefits (Pension) Defined contribution plan	16,977	4,216	-	4,216
Long Service Award	-	3,750	-	3,750
	237,532	**72,389**	**135,249**	**72,389**

37 Common control transaction

Effective October 1st 2025, Honeywell Flourmills PLC, by way business reorganisation transferred all its assets (operation) in Sagamu to its wholly subsidiary, Honeywell Flour Mills Sagamu FZE based on an agreement entered into by both parties. The transaction has been accounted for as a common control reorganisation using predecessor accounting. The transferred operations would continue to be presented within continuing operations. No discontinued-operation line item or restatement of comparatives is required.

The below shows the asset transfer summary

Transfer to related parties	Group		Company	
	2026 N'000	2025 N'000	2026 N'000	2025 N'000
Purchase Consideration*	-	-	56,770,858	-
	-	**-**	**56,770,858**	**-**
Carrying amount of assets transferred				
Property Plant and Equipment (Note16)	-	-	49,952,257	-
Inventory	-	-	6,818,601	-
Total Assets Acquired	**-**	**-**	**56,770,858**	**-**

* The transfer was executed on a non-cash basis and recorded as intercompany receivables by Honeywell Flour Mills PLC and intercompany payables by Honeywell Flour Mills Sagamu FZE.

38 Significant Judgment and Key Sources of Estimation

In preparing its financial statements, the Company has made significant judgments, estimates and assumptions that impact on the carrying value of certain assets and liabilities, income and expenses as well as other information reported in the notes. The Company periodically monitors such estimates and assumptions and make sure that they incorporate all relevant information available at the date when financial statements are prepared. However, this does not prevent actual figures differing from estimates.

The judgments made in the process of applying the Company's accounting policies that have the most significant effect on the amounts recognized in the financial statements, and the estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below:

Allowance for expected credit loss

The Company periodically assesses its trade and other receivables for probability of credit losses. Management considers several factors including past credit record, current financial position and credibility of management. Estimation and assumptions are made in determining the allowances made for credit losses.

Asset impairment tests

A financial asset or a group of financial assets, other than those categorized at fair value through profit or loss, are assessed for indicators of impairment at the end of each reporting period. Impairment exists only when the Company ascertains that a "loss event" affecting the estimated future cash flows of the financial asset has occurred. It may not be possible to identify a single, discrete event that caused the impairment and moreover to determine when a loss event has occurred might involve the exercise of significant judgment.

The amount of impairment loss recognized for financial assets carried at amortized cost is the difference between the assets' carrying amount and the present value of estimated future cash flows, discounted at the effective interest rate.

38 Significant Judgment and Key Sources of Estimation - Continued

Net realizable value of inventories

Inventories are stated at the lower of cost and net realizable value. The cost of inventories is written down to their estimated realizable value when their cost may no longer be recoverable, such as when inventories are damaged or become wholly or partly obsolete or their selling prices have declined. In any case, the realizable values represent the best estimate of the recoverable amount, based on the most reliable evidence available at the reporting date and inherently involve estimates regarding the future expected realizable value. The benchmarks for determining the amount of write-downs to net realizable value include ageing analysis, technical assessment and subsequent events.

In general, such an evaluation process requires significant judgment and may materially affect the carrying amount of inventories at the reporting date.

Deferred tax estimation

Recognition of deferred tax assets and liabilities involves making a series of assumptions. As far as deferred tax assets are concerned, their realization ultimately depends on taxable profits being available in the future. Deferred tax assets are recognized only when it is probable that taxable profits will be available against which the deferred tax asset can be utilized and it is probable that the entity will earn sufficient taxable profit in future periods to benefit from a reduction in tax payments. This involves the Company making assumptions within its overall tax-planning activities and periodically reassessing them in order to reflect changed circumstances as well as tax regulations. Moreover, the measurement of a deferred tax asset or liability reflects the manner in which the entity expects to recover the asset's carrying value or settle the liability.

Transfer of assets in Sagamu to Honeywell Flour Mills Sagamu FZE

Honeywell Flourmills PLC, transferred all its assets (operation) in Sagamu to its wholly subsidiary, Honeywell Flour Mills Sagamu FZE based on an agreement entered into by both parties. Management has determined that this transaction does not constitute a discontinued operation. Although the transferred operations represent a distinct geographic segment, the transaction is an intra-group restructuring under common control rather than a disposal. Control, economic benefits, and risks remain within the Group through the subsidiary. Accordingly, the operations continue to be classified as continuing operations, and no discontinued operations disclosure or restatement of prior periods is required.

39 Financial instruments and risk management

Capital risk management

The company's objective when managing capital (which includes share capital, borrowings, working capital and cash and cash equivalents) is to maintain a flexible capital structure that reduces the cost of capital to an acceptable level of risk and to safeguard the company's ability to continue as a going concern while taking advantage of strategic opportunities in order to maximise stakeholder returns

The company manages capital structure and makes adjustments to it in light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain the capital structure, the company may adjust the amount of dividends paid to the shareholders, issue new shares, issue new debt, issue new debt to replace existing debt with different characteristics and/or sell assets to reduce debt.

The group and the company monitor capital utilising a number of measures, including the gearing ratio. The gearing ratio is calculated as net borrowings (total borrowings less cash) divided by shareholders' equity.

The capital structure and gearing ratio of the company at the reporting date was as follows:

		Group		Company	
		2026	**2025**	**2026**	**2025**
		N'000	**N'000**	**N'000**	**N'000**
Borrowings	25	32,482,019	26,965,403	32,482,019	26,965,403
Lease liabilities	27	986,157	870,875	986,157	870,875
Total borrowings	**A**	33,468,176	27,836,279	33,468,176	27,836,279
Cash and cash equivalents	24	(9,810,078)	(5,264,550)	(8,329,752)	(5,264,550)
Net borrowings	**B**	**23,658,098**	**22,571,729**	**25,138,424**	**22,571,729**
Equity		53,932,039	37,445,161	57,729,700	37,638,694
Gearing ratio	**C = A/B**	**43.87%**	**60.28%**	**43.55%**	**59.97%**

39 Financial instruments and risk management - Continued

Financial risk management

Overview

The company is exposed to the following risks from its use of financial instruments:

● Credit risk;

● Liquidity risk; and

● Market risk (currency risk, interest rate risk and price risk).

The board of directors has overall responsibility for the establishment and oversight of the company's risk management framework. The board has established the risk committee, which is responsible for developing and monitoring the company's risk management policies. The committee reports quarterly to the board of directors on its activities.

The company's risk management policies are established to identify and analyse the risks faced by the company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the company's activities.

The company audit committee oversees how management monitors compliance with the risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the company. The audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the audit committee and the risk committee.

Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counter party to a financial instrument fails to meet its contractual obligations resulting in financial loss to the Company. The Company has adopted a policy of only dealing with credit worthy counter party and credit limits are set, where appropriate as a means of mitigating the risk of financial loss from default. Credit exposure is controlled by counter party's limits that are reviewed and approved annually by Management.

The Company considers financial assets to be in default when:

- the debtor is not likely to pay its credit obligation to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the financial assets is more than 365 days past due

Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the debtor;
- a breach of contract such as a default or being more than 365 days past due;
- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- it is probable that the debtor will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Write-off

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Company has a policy of writing off the gross carrying amount when the financial asset is 365 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Company individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Company expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

39 Financial instruments and risk management - Continued

The Company considers fixed income securities to have low credit risk, and therefore no material loss allowance was recognised during the period. These investments are usually classified as risk free and are considered to be low credit risk where they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

Trade and other receivables

Trade receivables consist of a large number of customers. Ongoing credit evaluation is performed on the financial condition of counterparties to assess recoverability of amount due. See Note 22.

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses (ECL). The provision rates are based on days past due for groupings of various customer segments with similar loss patterns (i.e. by customer type). The calculation reflects the probability weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions. The Company does not hold collateral as security.

Cash and cash equivalents

The cash and cash equivalent are held with banks and financial institutions counterparties, which are rated by established rating agencies.

Impairment on cash and cash equivalents has been measured on the 12-month expected loss basis and reflect the short maturities of the exposure. The Company considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties.

The Company continuously assesses the recoverability of these receivables. When the assessment reveals an indication of crystallization of a credit risk, the Company recognizes an impairment loss provision based on its assessment of the expected credit loss for these receivables.

Group

		31-Mar-26			31-Mar-25		
		Gross carrying amount	Credit loss allowance	Amortised cost/fair value	Gross carrying amount	Credit loss allowance	Amortised cost/fair value
		N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Related party loan receivable	19	42,213,603	(1,657,776)	40,555,827	3,260,211	(108,866)	3,151,345
Trade receivables	22	5,137,100	(941,121)	4,195,979	4,874,380	(962,221)	3,912,159
Related party receivables	22	25,236,543	(1,946,913)	23,289,630	25,168,471	(1,573,454)	23,595,016
Other receivables	22	1,306,137	-	1,306,137	54,405	-	54,405
Bank balance	24	9,810,078	-	9,810,078	4,898,661	-	4,898,661
Short term deposits	24	-	-	-	365,889	-	365,889
		83,703,461	**(4,545,810)**	**79,157,651**	**38,622,017**	**(2,644,541)**	**35,977,476**

Company

		31-Mar-26			31-Mar-25		
		Gross carrying amount	Credit loss allowance	Amortised cost/fair value	Gross carrying amount	Credit loss allowance	Amortised cost/fair value
		N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Related party loan receivable	19	42,317,533	(1,657,776)	40,659,758	3,260,211	(108,866)	3,151,345
Trade receivables	22	5,137,100	(941,121)	4,195,979	4,874,380	(962,221)	3,912,159
Related party receivables	22	25,236,543	(1,946,913)	23,289,630	25,354,477	(1,573,454)	23,781,024
Other receivables	22	1,306,137	-	1,306,137	54,405	-	54,405
Bank balance	24	9,810,078	-	9,810,078	4,898,661	-	4,898,661
Short term deposits	24	-	-	-	365,889	-	365,889
		83,807,392	**(4,545,810)**	**79,261,582**	**38,808,023**	**(2,644,541)**	**36,163,483**

39 Financial instruments and risk management - Continued

The amount of cash and cash equivalents (including short term deposits) disclosed in the table above represents the Company's maximum credit exposure on these assets. The cash and cash equivalents (including short term deposits) are held with banks and financial institution counterparties, which are reputable and have a sound financial position.

Liquidity risk

The company is exposed to liquidity risk, which is the risk that the company will encounter difficulties in meeting its obligations as they become due.

The company manages its liquidity risk by effectively managing its working capital, capital expenditure and cash flows. The financing requirements are met through a mixture of cash generated from operations and long and short term borrowings. Committed borrowing facilities are available for meeting liquidity requirements and deposits are held at banking institutions.

There have been no significant changes in the liquidity risk management policies and processes since the prior reporting period.

The maturity profile of contractual cash flows of non-derivative financial liabilities, and financial assets held to mitigate the risk, are presented in the following table. The cash flows are undiscounted contractual amounts.

Group - 2026

		Carrying Amount	Gross Nominal Amount	Less than 1 month	1 to 3 months	3 months to 1 year	Above 1 year
		N'000	N'000	N'000	N'000	N'000	N'000
Borrowings		32,482,019	59,662,937	-	2,662,244	5,459,198	51,541,495
Trade and other payables		94,768,958	94,768,958	-	-	94,768,958	-
Lease liabilities		986,157	3,048,727	-	15,578	132,837	2,900,311
		128,237,134	**157,480,622**	**-**	**2,677,822**	**100,360,993**	**54,441,806**

Group - 2025

		Carrying Amount	Gross Nominal Amount	Less than 1 month	1 to 3 months	3 months to 1 year	Above 1 year
		N'000	N'000	N'000	N'000	N'000	N'000
Borrowings	25	26,965,403	49,530,024	-	2,213,250	4,467,873	42,848,901
Trade and other payables	29	78,678,020	78,678,020	-	-	78,678,020	-
Lease liabilities	27	870,875	998,974	-	-	101,724	897,250
		106,514,298	**129,207,018**	**-**	**2,213,250**	**83,247,617**	**43,746,151**

Company - 2026

		Carrying Amount	Gross Nominal Amount	Less than 1 month	1 to 3 months	3 months to 1 year	Above 1 year
		N'000	N'000	N'000	N'000	N'000	N'000
Borrowings		32,482,019	59,662,937	-	2,666,040	5,381,916	51,614,981
Trade and other payables		54,602,531	54,602,531	-	-	54,602,531	-
Lease liabilities		986,157	3,048,727	-	15,578	132,837	2,900,311
		88,070,707	**117,314,195**	**-**	**2,681,618**	**60,117,284**	**54,515,293**

Company - 2025

		Carrying Amount	Gross Nominal Amount	Less than 1 month	1 to 3 months	3 months to 1 year	Above 1 year
		N'000	N'000	N'000	N'000	N'000	N'000
Borrowings	25	26,965,403	49,530,024	-	2,213,250	4,467,873	42,848,901
Trade and other payables	29	78,970,495	78,970,495	-	-	78,970,495	-
Lease liabilities	27	870,875	998,974	-	-	101,724	897,250
		106,806,773	**129,499,493**	**-**	**2,213,250**	**83,540,092**	**43,746,151**

39 Financial instruments and risk management - Continued

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices such as interest rate, exchange rates and other prices. The Company negotiates long term credit facilities and obtains subsidised loans from the Government in order to reduce the risk associated with high cost of borrowing. The Company also takes advantage of the Central Bank of Nigeria intervention funds and grants from the Federal Government at below market rate in order to mitigate this risk.

The Company and the Group's activities expose it primarily to financial risks of changes in foreign currency exchange rates and interest rates. Market risks exposures are measured using sensitivity analysis. There has been no change to the Company's exposure to market risks or the manner in which these risks are managed and measured.

Foreign currency risk

The Company is exposed to foreign currency risk as a result of certain transactions and borrowings which are denominated in foreign currencies. Exchange rate exposures are managed within approved policy parameters utilising foreign forward exchange contracts where necessary.

The Company is mainly exposed to fluctuation in the exchange rate of the American Dollar (USD).

Effective closing rate as at 31 March 2026 is N1,386.71/US Dollar (2025: N1,541.67/US Dollar). Average rate for the year is N1,502.26/US Dollar (2025: N1,425.53/US Dollar).

Foreign currency exposure at the end of the reporting period

The net carrying amounts, in Naira, of the exposure to the American Dollars. The amounts have been presented in USD by converting the Naira currency amounts at the closing rate at the reporting date:

	Group		Company	
	2026 USD	2025 USD	2026 USD	2025 USD
Cash and cash equivalent	112,749	17,383	18,979	17,383
Trade payables	(17,055)	(1,836,625)	(87,075)	(1,836,625)
Short-term finance (Usance)	-	(890,068)	-	(890,068)
Net exposure	95,694	(2,709,310)	(68,096)	(2,709,310)

Foreign currency sensitivity analysis

The following information presents the sensitivity of the company to an increase or decrease in the respective currencies it is exposed to. The sensitivity rate is the rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated amounts and adjusts their translation at the reporting date. No changes were made to the methods and assumptions used in the preparation of the sensitivity analysis compared to the previous reporting period.

At 31 March 2026 if the dollar exchange rate had been 19% (2025: 15%) higher or lower during the period, with all other variables held constant, loss for the year would have been impacted as follows;.

Sensitivity Analysis	**2026 N'000**	**2025 N'000**	**2026 N'000**	**2025 N'000**
+19%	25,213	(626,529)	(17,942)	(626,529)
-19%	(25,213)	626,529	17,942	626,529

Interest rate risk management

Interest rate risk is the risk that the fair value or the future cashflow of a financial instrument will fluctuate due to the changes in market interest rates. In managing interest rate risk, the company ensures the significant portion of its interest rate exposure is at a fixed rate. The Company at year end have outstanding fixed interest rate facilities and it is therefore not exposed to interest rate risk

Fair value sensitivity for fixed rate instruments

The Company does not account for any fixed rate financial liability at fair value through profit or loss (FVTPL). Therefore a change in interest does not affect profit or loss.

Price risk

The Company is exposed to commodity price risk. The risk arises from the Company's raw materials and Spare parts requirement to meet its Production requirements. The Company Monitors commodity price movement and make advance purchase of raw materials before use to Mitigate significant Price fluctuation .

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

39. Fair value information

Accounting classification and fair values

The following table shows the carrying amount and fair values of financial assets and liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

Group

31-Mar-26

		Carrying amount			Fair value			
In thousands of Naira	**Note**	**Financial assets measured at amortised cost**	**Financial liabilities measured at amortised cost**	**Total**	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial assets measured at amortised cost								
Trade and other receivables	22	28,791,747	-	28,791,747	-	-	-	-
Cash and cash equivalents	24	9,810,078	-	9,810,078	-	-	-	-
		38,601,825	-	38,601,825	-	-	-	-
Financial liabilities not measured at fair value								
Secured loans*	25	-	(19,936,904)	(19,936,904)	-	(17,671,090)	-	(17,671,090)
Trade and other payables (excluding statutory deductions)	29	-	(94,768,958)	(94,768,958)	-	-	-	-
		-	(114,705,862)	(114,705,862)	-	(17,671,090)	-	(17,671,090)

31-Mar-25

		Carrying amount			Fair value			
In thousands of Naira	**Note**	**Financial assets measured at amortised cost**	**Financial liabilities measured at amortised cost**	**Total**	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial assets measured at amortised cost								
Trade and other receivables	22	27,561,580	-	27,561,580	-	-	-	-
Cash and cash equivalents	24	5,264,550	-	5,264,550	-	-	-	-
		32,826,130	-	32,826,130	-	-	-	-
Financial liabilities not measured at fair value								
Secured loans*	25	-	(26,965,403)	(26,965,403)	-	(23,900,807)	-	(23,900,807)
Trade and other payables (excluding statutory deductions)	29	-	(78,678,020)	(78,678,020)	-	-	-	-
		-	(105,643,423)	(105,643,423)	-	(23,900,807)	-	(23,900,807)

* The fair value for loan is estimated based the net present value of expected payments, discounted using a risk adjusted discount rate. The basis of measurement has remained the same between current and prior years. The discount rate used to determine the fair value of loans is 19% (2025 :22%).

Company

31-Mar-26

		Carrying amount			Fair value			
In thousands of Naira	Note	**Financial assets measured at amortised cost**	**Financial liabilities measured at amortised cost**	**Total**	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial assets measured at amortised cost								
Trade and other receivables	22	77,579,773	-	77,579,773	-	-	-	-
Cash and cash equivalents	24	8,329,752	-	8,329,752	-	-	-	-
		85,909,525	-	85,909,525	-	-	-	-
Financial liabilities not measured at fair value								
Secured loans*	25	-	(19,936,904)	(19,936,904)	-	(17,671,090)	-	(17,671,090)
Trade and other payables (excluding statutory deductions)	29	-	(54,602,531)	(54,602,531)	-	-	-	-
		-	(74,539,435)	(74,539,435)	-	(17,671,090)	-	(17,671,090)

31-Mar-25

		Carrying amount			Fair value			
In thousands of Naira	Note	**Financial assets measured at amortised cost**	**Financial liabilities measured at amortised cost**	**Total**	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial assets measured at amortised cost								
Trade and other receivables	22	27,747,588	-	27,747,588	-	-	-	-
Cash and cash equivalents	24	5,264,550	-	5,264,550	-	-	-	-
		33,012,138	-	33,012,138	-	-	-	-
Financial liabilities not measured at fair value								
Secured loans*	25	-	(26,965,403)	(26,965,403)	-	(23,900,807)	-	(23,900,807)
Trade and other payables (excluding statutory deductions)	29	-	(78,970,495)	(78,970,495)	-	-	-	-
		-	(105,935,898)	(105,935,898)	-	(23,900,807)	-	(23,900,807)

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2026

Fair value hierarchy

Level 1: Quoted unadjusted prices in active markets for identical assets or liabilities that the Company can access at measurement date.

The fair value of financial instruments traded in active markets (quoted equity) is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis

The quoted market price used for financial assets held by the Company is the bid price at the reporting date. These instruments are included in level 1. There were no transfers between levels during the year.

Level 2: Inputs other than quoted prices included in level 1 that are observable for the asset or liability either directly or indirectly.

The fair value of financial instruments that are not traded in an active market (loans and borrowings) is determined by using discounted cash flow valuation techniques. This valuation technique maximize the use of observable market data by using the market related interest rate for discounting the contractual cash flows. There are no significant unobservable inputs. There were no transfers between levels during the year. The basis of measurement has remained the same between current and prior years. The discount rate used to determine the fair value of loans is 19% (2025 :22%).

Long-term fixed-rate and variable-rate borrowings are evaluated by the Company based on parameters such as interest rates, specific country risk factors, individual creditworthiness of the customer and the risk characteristics of the financed project. Based on this evaluation, allowances are taken into account for the estimated losses of these receivables.

Financial instrument in Level 3

The fair value is based on unobservable inputs. The Company has no level 3 financial assets or financial liabilities as at the reporting period.

40 Going concern

The Group recorded a profit for the year ended 31 March 2026 of N16.5 billion (2025: N14.6 billion). As at the same date, the Group current liabilities exceeded its current assets by N15.4 billion. (2025: N7.1 billion).

The Company recorded a profit for the year ended 31 March 2026 of N20.1 billion (2025: N14.8 billion). As at the same date, the Company's current assets exceeded its current liabilities by N60.8 billion (2025: The company's current liabilities exceeded its current assets by N7.2 billion).

As at 31 March 2026, a significant portion of the payables of the Group and Company is due to ralated parties. Consequently, the parent company, Golden Penny Foods Limited (formerly Flour Mills of Nigeria Plc) has issued a letter of support with a commitment to support the Group and Company in meeting its obligations as at when due.

The Directors of the Company has a reasonable expectation that the Group and Company will continue in operational existence for foreseable future given the commitment of the parent company as described above. Accordingly the financial statement s have been prepared on the basis of accounting policies apllicable to going concern.

41 Events after the Reporting Period

There were no significant event after the reporting date which could have a material effect on the finacial position of the Group and Company as at 31 March 2026 and its financial performance for the year then ended, that have not been adequately provided for, or disclosed in the financial statements.

Other National Disclosures

CONSOLIDATED AND SEPARATE STATEMENT OF VALUE ADDED FOR THE YEAR ENDED 31 MARCH, 2025

"Value added" is the measure of wealth the group has created in its operations by "adding value" to the cost of products and services. The statement below summarises the total wealth created and shows how it was shared by employees and other parties who contributed to its creation. Also set out below is the amount retained and re-invested in the company for the replacement of assets and the further development of operations.

Group	**2026**		**2025**	
	N'000	**%**	**N'000**	**%**
Turnover	360,849,158		373,509,245	
Other operating income	8,205,250		7,618,310	
Bought - in materials and services;				
-Foreign	(291,219,552)		(306,936,408)	
-Local	(42,558,320)		(34,636,306)	
Total Value Added	**35,276,535**	**100**	**39,554,841**	**100**
Value Distributed				
To Pay Employees				
Employees cost	5,693,883	16	4,264,156	11
To Pay Providers of Fund				
Finance costs	3,904,706	11	4,640,866	12
To Pay Government				
Income tax	10,133,967	29	4,358,399	11
Retained for future expansion and wealth creation:				
Depreciation, amortization and impairments	3,781,744	10	9,450,343	24
Deferred tax	(4,724,643)	(12)	2,252,427	6
Retained earnings	16,486,878	47	14,588,650	37
Total Value Distributed	**35,276,535**	**100**	**39,554,841**	**100**

Value added represents the additional wealth which the company has been able to create by its own and employees efforts.

CONSOLIDATED AND SEPARATE STATEMENT OF VALUE ADDED FOR THE YEAR ENDED 31 MARCH, 2026

"Value added" is the measure of wealth the group has created in its operations by "adding value" to the cost of products and services. The statement below summarises the total wealth created and shows how it was shared by employees and other parties who contributed to its creation. Also set out below is the amount retained and re-invested in the company for the replacement of assets and the further development of operations.

Company	**2026**		**2025**	
	N'000	**%**	**N'000**	**%**
Turnover	355,954,336		373,509,245	
Other operating income	7,349,336		7,618,310	
Bought - in materials and services;				
-Foreign	(291,808,268)		(306,936,407)	
-Local	(37,804,126)		(34,462,334)	
Total Value Added	**33,691,277**	**100**	**39,728,814**	**100**
Value Distributed				
To Pay Employees				
Employees cost	5,693,883	17	4,264,156	11
To Pay Providers of Fund				
Finance costs	3,904,706	12	4,640,866	12
To Pay Government				
Income tax	7,972,931	24	4,338,839	11
Retained for future expansion and wealth creation:				
Depreciation, amortization and impairments	3,781,745	11	9,450,343	24
Deferred tax	(7,752,995)	(23)	2,252,427	6
Retained earnings	20,091,007	60	14,782,183	37
Total Value Distributed	**33,691,277**	**100**	**39,728,814**	**100**

Value added represents the additional wealth which the company has been able to create by its own and employees efforts.

FINANCIAL SUMMARY FOR THE YEAR ENDED 31 MARCH, 2026

Consolidated Statement of Financial Position

	2026	2025
Assets	**N'000**	**N'000**
Non-current assets	100,357,399	74,686,409
Current assets	116,351,777	92,759,827
Total assets	**216,709,176**	**167,446,236**
Liabilities		
Non-current liabilities	31,066,127	30,116,792
Current liabilities	131,711,010	99,884,282
Total liabilities	**162,777,137**	**130,001,074**
Equity		
Share capital	10,427,140	10,427,140
Reserves	19,388,109	19,388,109
Retained earnings	24,116,790	7,629,912
Total equity	**53,932,039**	**37,445,161**
Total equity &liabilities	**216,709,176**	**167,446,236**

Consolidated Statement of Profit or Loss and Other Comprehensive Income

	2026	2025
Revenue	360,849,158	373,509,245
Profit before taxation	21,896,202	21,199,476
Taxation	(5,409,324)	(6,609,730)
Police trust fund dev. levy	-	(1,096)
Profit for the year	**16,486,878**	**14,588,650**
Per share data (kobo)		
Earnings per share (Basic)	253.35	186.40
Net assets per share	680.08	472.18

Per share data are based on the number of issued and fully paid ordinary shares of 7,930,197,658 at the end of each financial year, (2025: 7,930,197,658).

Being the first year as a Group, only one year is presented for consolidated financial summary

FIVE YEARS FINANCIAL SUMMARY FOR THE YEAR ENDED 31 MARCH, 2025

Separate Statement of Financial Position

	2026	2025	2024	2023	2022
Assets	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Non-current assets	25,070,765	74,986,409	81,831,114	85,912,619	97,247,878
Current assets	150,592,801	92,945,834	67,134,834	79,087,358	51,448,153
Total assets	**175,663,566**	**167,932,244**	**148,965,948**	**164,999,977**	**148,696,031**
Liabilities					
Non-current liabilities	28,149,966	30,116,792	37,330,330	41,877,630	35,030,414
Current liabilities	89,783,900	100,176,757	88,779,106	90,146,058	68,217,954
Total liabilities	**117,933,866**	**130,293,549**	**126,109,436**	**132,023,688**	**103,248,368**
Equity					
Share capital	10,427,140	10,427,140	10,427,140	10,427,140	10,427,140
Reserves	19,388,109	19,388,109	19,388,109	19,388,109	32,115,596
Retained earnings	27,914,451	7,823,444	-6,958,738	3,161,039	2,904,927
Total equity	**57,729,700**	**37,638,694**	**22,856,511**	**32,976,289**	**45,447,663**
Total equity & liabilities	**175,663,566**	**167,932,243**	**148,965,948**	**164,999,977**	**148,696,031**

Seaparate Statement of Profit or Loss and Other Comprehensive Income

	2026	2025	2024	2023	2022
Revenue	355,954,336	373,509,245	188,311,035	147,350,739	136,427,507
Profit/(Loss) before taxation	22,412,832	21,393,008	(7,860,042)	(8,906,996)	(172,141)
Taxation	-	-	(738,451)	(628,679)	(9,585,482)
Police trust fund dev. levy	-	-	-	-	-
Profit/(Loss) for the year	**22,412,832**	**21,393,008**	**(8,598,493)**	**(9,535,675)**	**(9,757,623)**
Per share data (kobo)					
Earnings/(Loss) per share (Basic	253.35	186.40	(127.61)	3.23	(123.04)
Net assets per share	727.97	474.62	288.22	415.83	573.10
Dividend proposed per share	-	-	-	-	-
Dividend paid per share	-	-	-	-	7

Per share data are based on the number of issued and fully paid ordinary shares of 7,930,197,658 at the end of each financial year, (2025: 7,930,197,658).